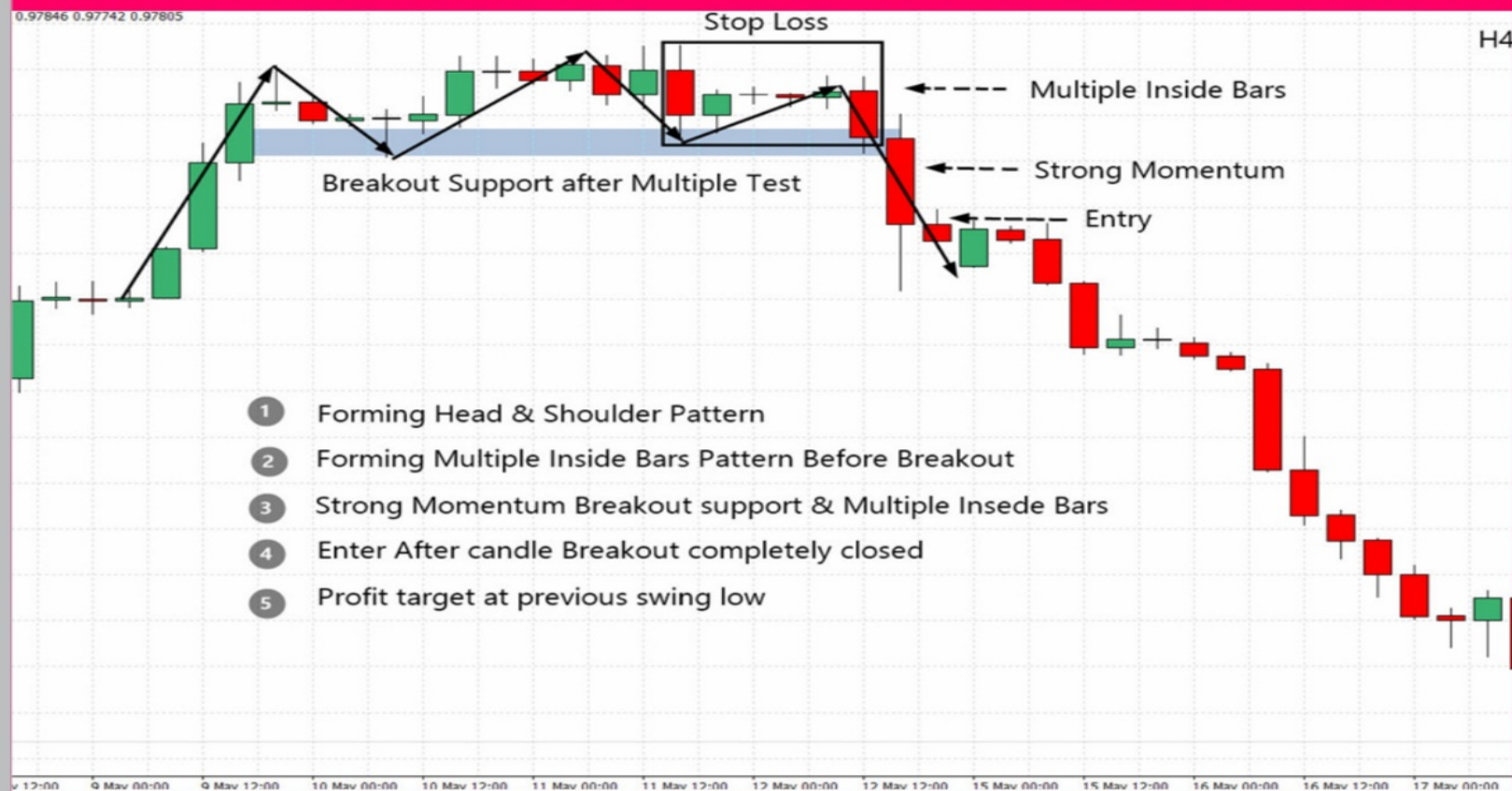


ZOOMING IN MARKET STRUCTURE

**Price Action Trading Guide: Deep Explanations: High Probability Set
Up: Candlestick Analysis: Chart Pattern Analysis: Forex: Stock:
Commodities: Beginner & Advance**

RADAR BINTARA



ZOOMING IN MARKET STRUCTURE

Deep Explanation Price Action Trading Guide

Radar Bintara

Amazon Kindle Publisher

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MOMENTUM CANDLE

LONG WICK CANDLE THAT STICKING OUT OF KEY LEVELS

MOMENTUM LOSS CANDLES

MULTIPLE CANDLE REJECTIONS

ZOOMING IN MARKET STRUCTURE

Deep Explanation

Price Action Trading Guide

(first & second editions)

By. Radar Bintara

INTRODUCTION

A simple yet profitable strategy and a plan is the ultimate key to consistent long-term profitability because it allows traders to capitalize on their edge without emotions day in and day out. Many traders think to make profit consistently, but without proper knowledge it is nearly impossible. New traders think they need more indicators to be a consistently profitable trader. But the truth is...It doesn't work that way. In this case we will provide some strategy that's very simple and understandable for beginner and advance. Very vital to follow along carefully and make sure that all the steps are understood. If we don't know yet about candlestick pattern, Chart pattern, and how it works in current market, we may Google it. We don't need to memorize all of them. Instead, learn how to read it properly so we never need to memorize a single one ever again.

Trading in the trend directions is highly recommended to minimize losses and gain more profitable in trading. We don't need any super-duper indicators or complicated trading style. All we need is how we read the movement of the market and understand the market structures. Price action trading with combination of leading indicator that very simple with high probability winning ratio. Learn how to spot market turning point, and which direction it likely will go further with high accuracy.

Great strategy that's include How to correctly draw and use proper trendline, how to draw proper support & resistant and combine it with another tools. And some others strategy that may increase your trading knowledge.

There are also other aspects of trading like risk management or emotions that we need to consider.

Analyze the market before we jump in.

Don't chase the market, let it come to us.

Remember that patience will pay in trading.....

We wish you happy reading,

Good luck in advance

And thank you for purchasing this book.....

THINGS TO REMEMBER

People who succeed at trading do these things very well:

- They identify trading strategies that are tried, tested.
- They are 100% disciplined in executing those strategies.
- They stick to a strict money management regime.
- They can control emotions to accept their losses.

So, in this article we will show everything we need to know to get started including:

- The main chart Awesome forex trading strategies that are used successfully every day.
- patterns associated with these forex trading strategies.
- Instructions for implementing the strategies
- Understand the market structure always moved in 3 directions
- Understand which direction should to take or to avoid it.

Here is 3 market direction:

1. Trending Up
2. Trending Down
3. Sideways

To determine which market direction easily we can use market tools such as Moving Averages, Trendline, and Support & Resistance for the entry and exits point conjunctions with candlestick pattern as an entry trigger

These strategies had proven to be very effective in hands of a skillful trader!

We could be either new to trading or have been trading for a while.

No matter which person we are, both of us have the same desires

Remember; the strategy alone is only a part of the big picture. We need find out what works for us.

One strategy can suit one person but not another. There are also other aspects of trading like risk management or emotions that we need to consider.

We never use indicators on their own to trade analysis or trade entries, we only use them to confirm & support what we have already established with price actions.

Learning is essential to understand what we are up against. There is no magic to it, just hard work, commitment and persistence.

Firstly we have to understand,

Good market analysis combines the fundamental analysis and the technical analysis.

Once the trader knows where is the market likely to move, they will apply technical analysis to position their money accordingly.

why are candlesticks important ?

Candlestick tell us a story and are a reflection of what buyers & sellers are doing. What that means is when the candlestick that forms tells us a lot about what going on in the specific time period in terms of buying & selling in the market.

There's many ways to using candlestick in trading

So here We will focus on combining candlestick patterns with key levels.

Lets go through the specific candlestick types that we're looking for

1.CANDLESTICK PATTERNS TRADING STRATEGIES

High probability reversal setups or continuation

Bullish engulfing pattern.

Engulfing patterns happen when the real body of a price candle covers or engulfs the real body of one or more of the preceding candles.

The more candles that the engulfing candle covers the more powerful the following move will likely be.

There are two types. Bullish and bearish.

The bullish engulfing pattern signals a bullish rise ahead and the opposite is true for the bearish engulfing candle.

In the below chart I have marked the bullish engulfing candles which led to price rises immediately after.

How to trade it?

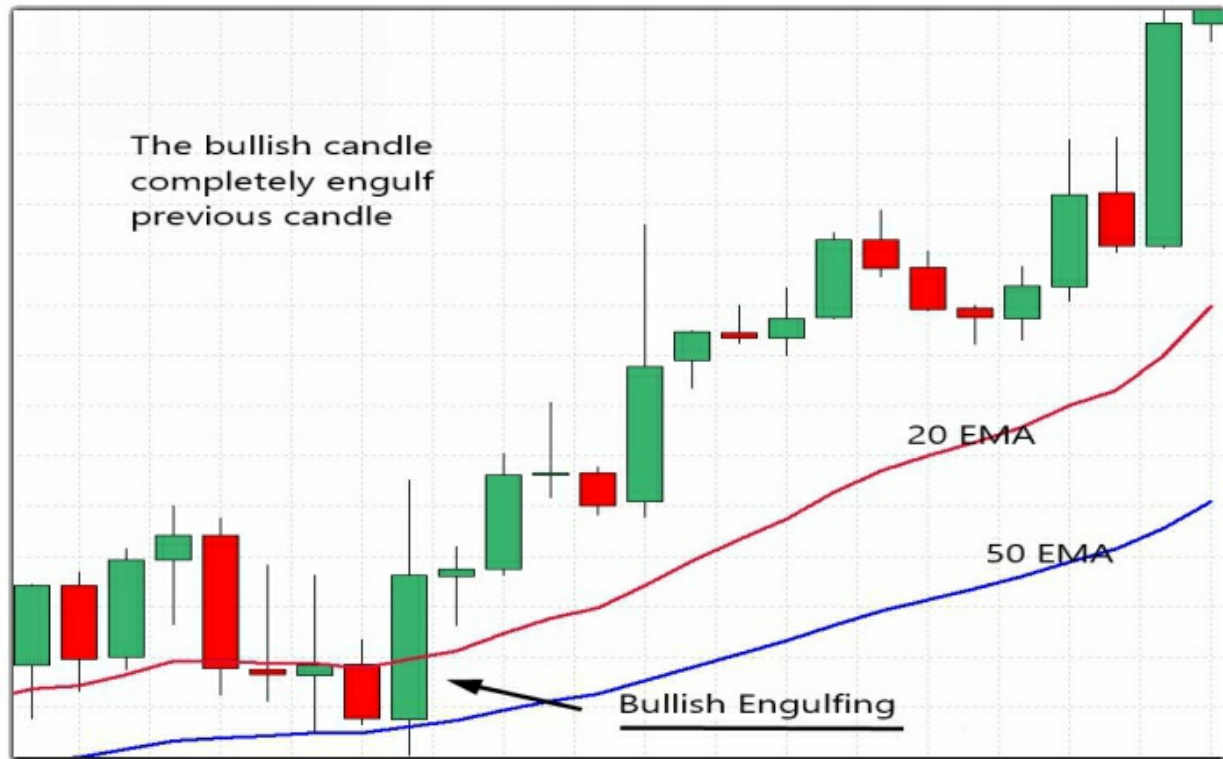
Well, the bullish engulfing pattern is a precursor to a large upward move.

when we see an engulfing candle taking shape we should wait for the following candle and then open our position.

Here's what we do it...

- If the market is trending higher, then wait for a pullback towards Support
- If the price makes a pullback towards Support, then wait for a bullish reversal candlestick pattern
- If there's a bullish reversal candlestick pattern, then make sure the size of it is larger than the earlier candles (signal strong rejection)

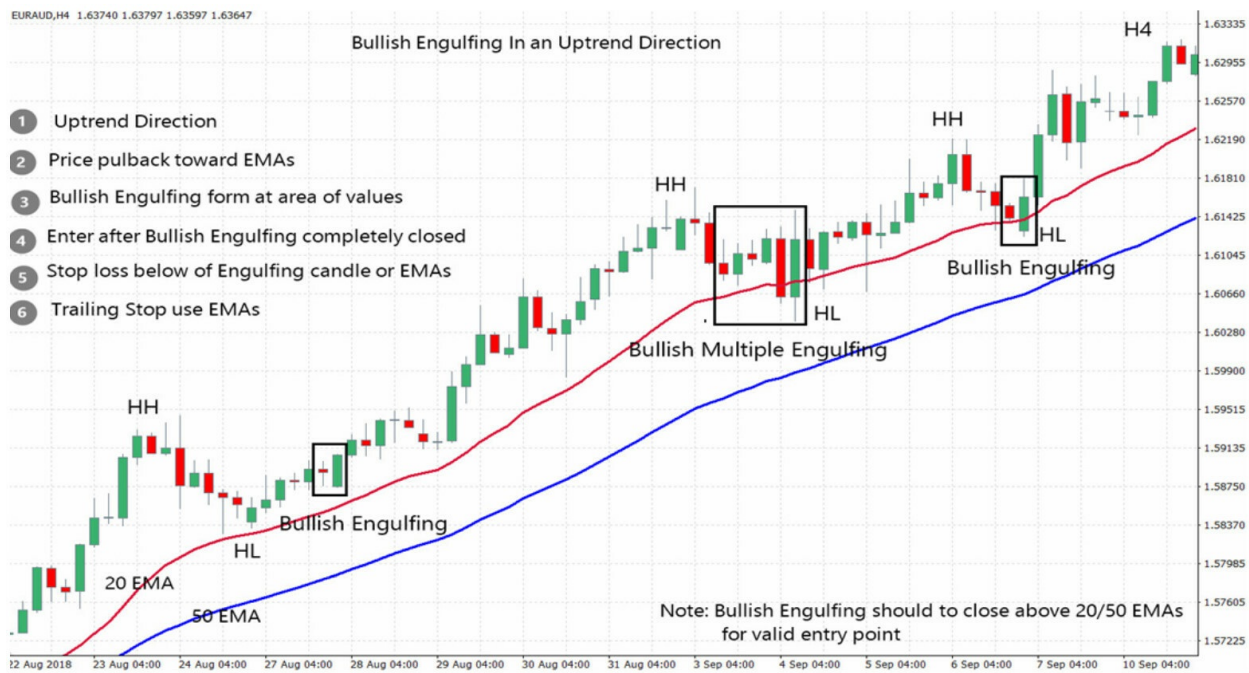




EURAUD,H4 1.63740 1.63797 1.63597 1.63647

Bullish Engulfing In an Uptrend Direction

- 1 Uptrend Direction
- 2 Price pulback toward EMAs
- 3 Bullish Engulfing form at area of values
- 4 Enter after Bullish Engulfing completely closed
- 5 Stop loss below of Engulfing candle or EMAs
- 6 Trailing Stop use EMAs



Example for EUR/AUD H4

Rules:

1. Price is trending up, its creating new higher highs & higher lows above 20 & 50 EMA
2. Pullback occur toward the EMAs value area
3. Forming Bullish Engulfing pattern and close above 20 EMA
4. Enter the trade once Bullish engulfing completely closes
5. The size of Engulfing candle must bigger than previous one
6. If the Engulfing candle is too big, wait for the price to have little move back to get better entry point.
7. Stop loss right below the Engulfing formation
8. Exit once the strong bearish momentum closes below the 20 EMA



Example for GBP/USD H1

Here we use Trend line & 50 EMA to help determine for the trend direction

Once the price creates higher high & higher low connect 2 new lower lows to confirm an uptrend direction.

The rules:

- 1) Price is trending up
- 2) Price pullback toward the 50 EMA and trend line
- 3) Draw the minor trend line on the pullback
- 4) Look for Bullish Engulfing pattern
- 5) Wait the pullback trend line to breakout with strong momentum
- 6) Set stop loss right below Engulfing formation
- 7) Enter after Bullish engulfing completely close and candle breakout the trendline
- 8) Trailing stop use EMA or exit once strong bearish momentum closes below EMA

BEARISH ENGULFING PATTERN.

The bearish engulfing pattern signals a bearish price decline ahead.

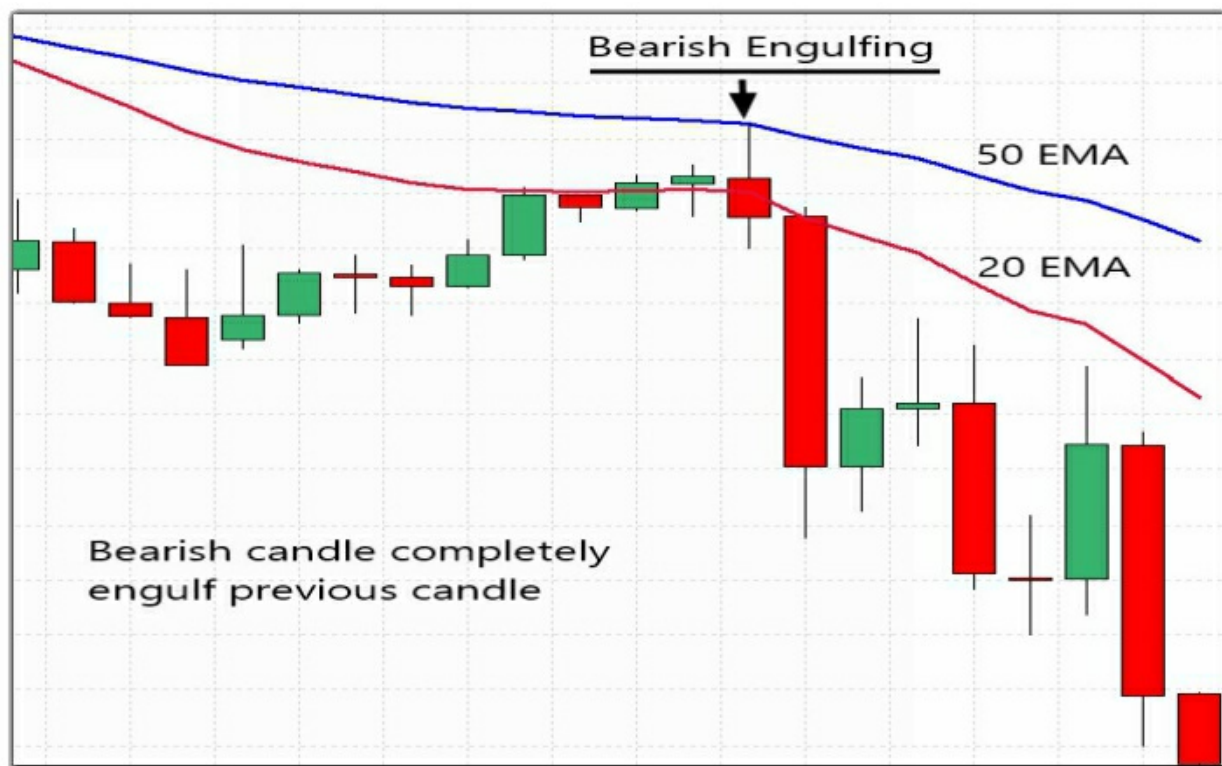
In the above chart I have circled the bearish engulfing candles which led to price declines immediately after.

Again, the more candles that the engulfing candle covers the more accuracy the following move will likely be.

How to trade it? It is the same principle as the bullish pattern, just the flip side of the coin!

The bearish engulfing pattern is also a precursor to a large decline.

So, when we see an engulfing candle taking shape we should wait for the following candle and then open position. Our stop should be placed at the high of the engulfing candle.





EUR/USD H1



Here is another example USD/CHF H1

- Identify the downtrend direction
 - Price creates new lower highs & lower lows below the EMAs and trend line
 - Pullback occur and forming Bearish Engulfing pattern
 - This indicates that Sellers are in control to push the market lower
 - Enter once Bearish Engulfing formation has completely closes or
 - If the Engulfing candle is too big wait for the price to little bit move back up to get better entry point
 - Stop loss right above Bearish Engulfing formation
 - Exit once strong bullish momentum breakout and close above the EMA or Trend line
- Note: Read candlestick chart and “predict” market turning points with deadly accuracy

The market doesn’t move in one straight line.

Instead, it goes...

Up and down, up and down, up and down, right? (Something like that)

And we can classify this “up and down” pattern into:

- Trending move
- Retracement move

Notice small-bodied candles that move against the trend (otherwise known as counter trend).

Notice larger-bodied candles that move in the direction of the trend.

We might be wondering:

“Why is this important?”

Because in a healthy trend, we’ll expect to see a trending move followed by a retracement move.

But when the trend is getting weak, the retracement move no longer has small-bodied candles, but larger ones.

And when we combine this technique with market structure (like [Support and Resistance](#), [Trend line](#), etc.), we can

pinpoint market turning points with deadly accuracy.

TRADING INSIDE BAR STRATEGY

The Inside Bar is a simple but powerful candlestick pattern.

It can help you better time your entries with low risk.

We can use it to trade with the trend or, market reversals.

What is an Inside Bar and how does it work?

An Inside Bar is a candle that's "covered" by the prior candle.

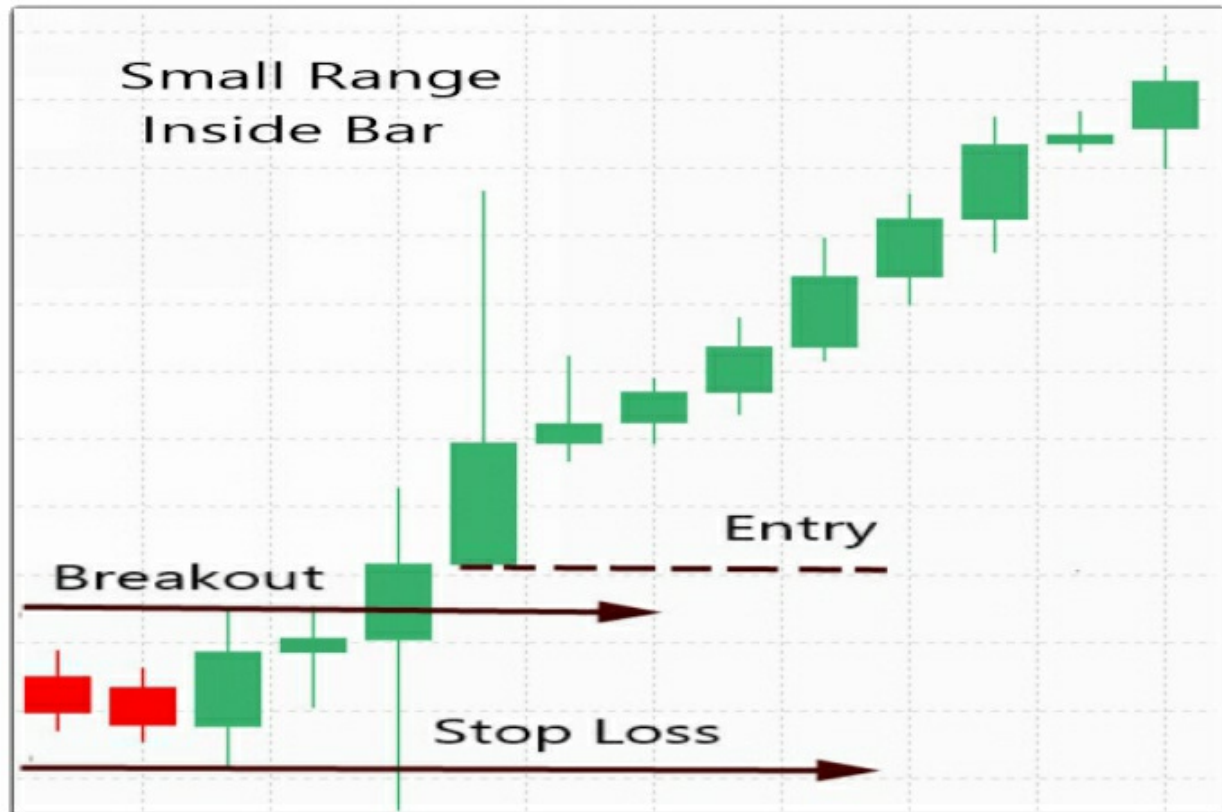
Now when you see an Inside Bar, it means there's reduced volatility in the markets.

However, not all Inside Bars are created equal:

Here is 3 kind of inside bar:

1. Small range Inside Bar
2. Large range Inside Bar
3. Multiple Inside Bars

Example for Small Range Inside bar:





Large Range Inside Bar



Multiple Inside Bars



This is a powerful pattern because it tells there's low volatility in the markets. And volatility in the markets are always changing, it moves from a period of low volatility to high volatility (and vice versa).

So, when we see multiple Inside Bars together, it's a strong sign the market is about to make a big move soon.

Don't make this common mistake when trading the Inside Bar...

Now:

Many traders would spot an Inside Bar and they'll trade the breakout of it.

That's not smart because it's a low probability trade especially when the market is in a "choppy" range.

So, how should we trade an Inside Bar?

Go with the trend, Wait the price to pullback to the certain area: Support/resistant, EMA value area, Trendline and any other tools.

Look for the Inside Bar formation and wait it to completely breakout with strong momentum to confirm for continuation of the trend

INSIDE BAR TRADING STRATEGY — CATCH THE TREND

Here's the idea behind it...

In a strong trending market (when the price is above 20MA), the pullback is shallow.

So, when the price “stalls” after a pullback (in the form of an Inside Bar), you want to enter as soon as the price resumes in the direction of the trend.

Here's how we do it (for long setups)

If the market is in a strong trend (above 20MA), then wait for a pullback to occur

If a pullback occurs, then wait for an Inside Bar to form

If there's an Inside Bar, then go long on the break of the highs (of the Inside Bar)

And vice versa for shorts





Inside Bar pattern in a downtrend pullback after breakout support level
 On a clear downtrend, wait for the price makes new lower low and lower highs below EMA. Wait for pullback toward EMA and forming an Inside Bar Pattern to support our entry point

The rules:

- 1) Price is clearly in a downtrend direction
- 2) Wait for the pullback toward EMA or Trendline
- 3) Look for an Inside Bar formation on the pullback area
- 4) Wait for Inside Bar Pattern to be breakout with strong bearish momentum
- 5) Enter once the pattern completely breakout
- 6) If the candle breakout is too big, wait for the price to move little back up to get better entry point
- 7) Set stop loss right above Inside Bar formation or above EMA/Trendline
- 8) Exit once strong bullish momentum closes above EMA or breakout the Trendline



EUR/AUD H4

Note: Entry after Inside bar confirmed breakout with strong bullish momentum. Trailing stop loss using 20 EMA or exit once candle close above 20 EMA.

The rules:

1. Price in a downtrend direction
2. Price has breakout the support level below the EMA
3. Pullback toward new resistant level
4. Forming Multiple Inside Bars pattern
5. Wait for pattern to breakout with strong bearish momentum
6. Enter on the next candle
7. Stop loss right above Multiple Inside Bars formation or above the EMA
8. Exit once the strong bullish momentum has breakout and closes above the EMA

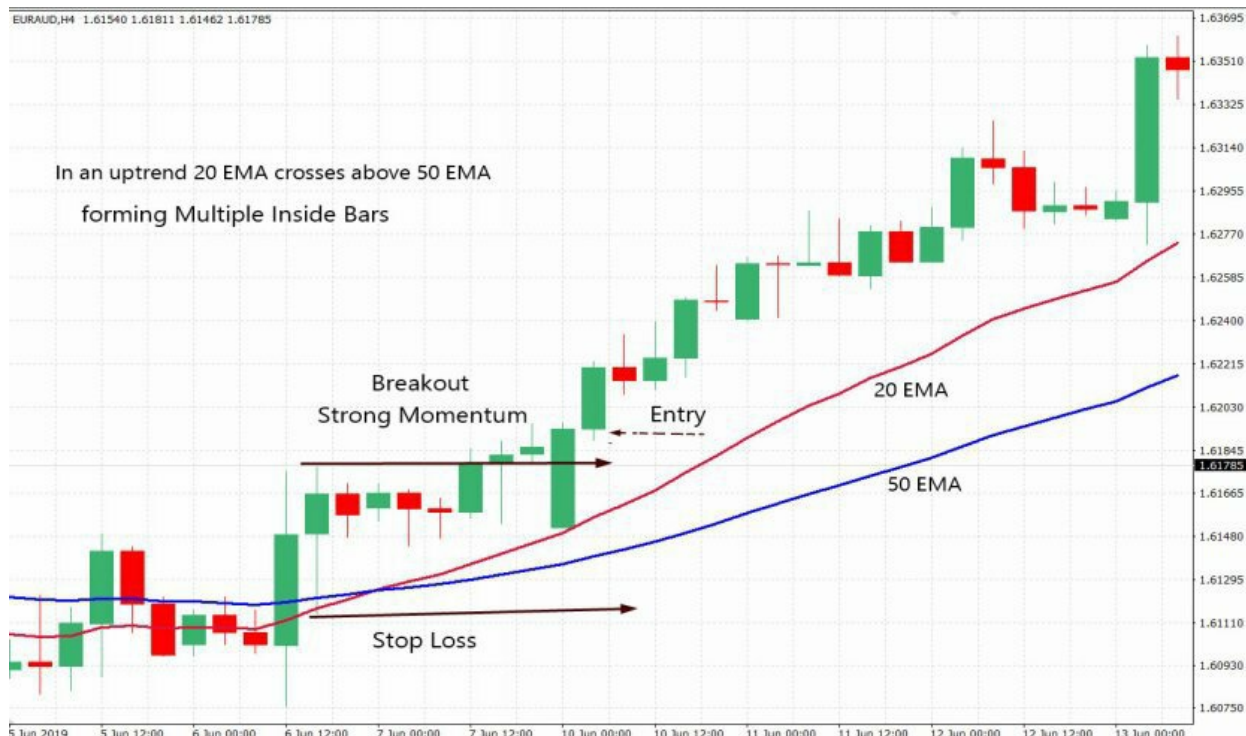


Multiple Inside Bars on AUD/USD H4

The rules:

- 1) In a downtrend direction price moves below the 20 and 50 EMA
- 2) There's pullback toward the EMAs value area and forming Multiple Inside Bars
- 3) Wait for pattern to completely breakout with strong bearish momentum
- 4) Enter the trade after breakout candle and breakout the support level
- 5) Set stop loss right above the Multiple Inside Bars formation
- 6) Or above the EMA
- 7) Exit once strong bullish momentum breakout and closes above the 20 EMA

Trading with the trend combine with price action pattern help to eliminates of fake market movement.



EUR/AUD H4

Inside Bar pattern in uptrend direction

The rules:

- 1). Price is in an uptrend direction breakout the previous resistant level
- 2). 20 EMA cross above the 50 EMA
- 3). Price pullback toward the EMAs and previous higher high
- 4). Forming Multiple Inside Bars pattern
- 5). Wait for the breakout with Strong bearish momentum
- 6). Enter after it completely breakout
- 7). Stop loss right below the Multiple Inside Bars pattern or below the EMA
- 8). Exit once strong bearish candle breakout and closes below the 20 EMA



For example trail your stop loss using the 20 MA;



EUR/AUD H4

Inside Bar for swing trading:

1. Price moves down and breakout the previous support level
2. Price bounce back creates new swing high at the resistant area
3. Forming Multiple Inside Bars pattern
4. Enter once pattern has breakout
5. Breakout candle should be below the 20 EMA
6. Stop loss right above the Multiple Inside Bars formation
7. Profit target at the previous swing low
8. Breakout candle with long lower wick might be sign that price will move back up little bit before continue

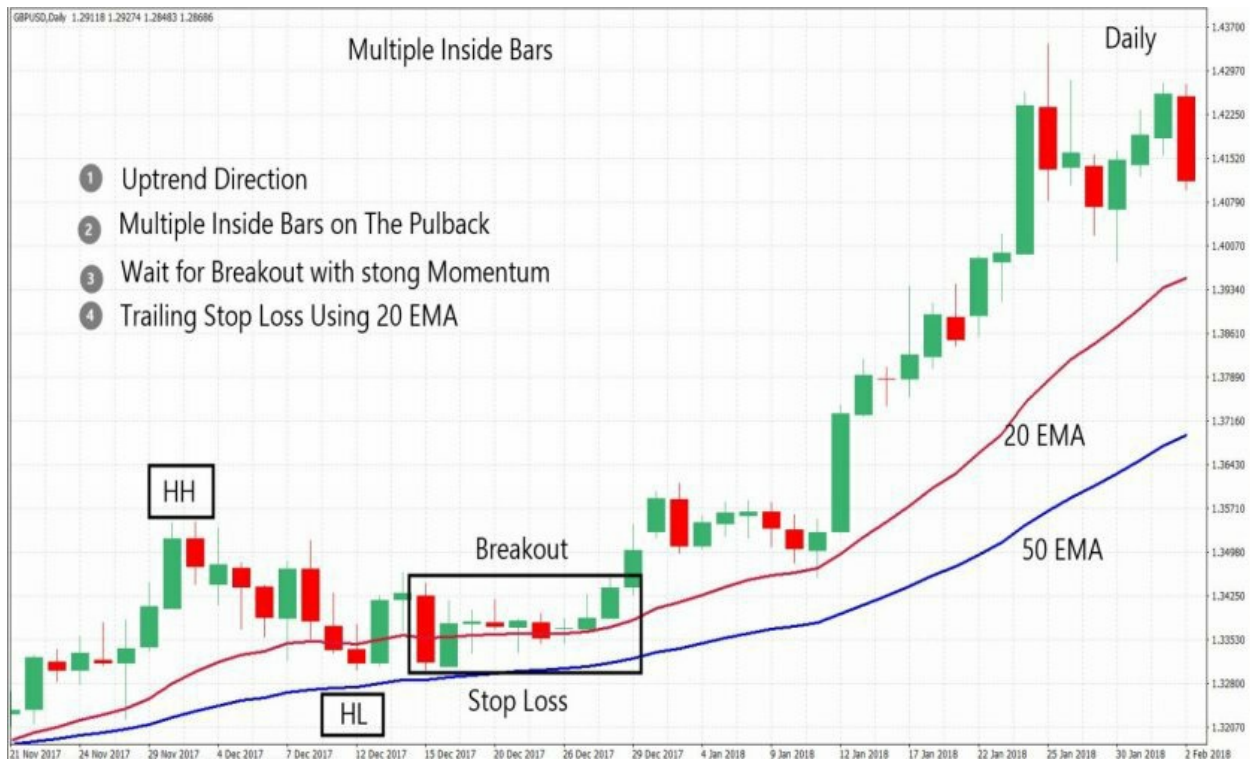
- to go down.
9. Get better entry point when the price has a little pullback



In a ranging market it might be risky to trade in this kind of movement
But here may be little bit clue to get a good set up before jump in to the market

The rules

- 1). Find previous key levels (support or resistant).
- 2). Once the price reach the key levels and forming an Inside Bar.
- 3). Wait it for the breakout.
- 4). Breakout candle must close above the 20 EMA for call direction with strong bullish momentum.
- 5). Stop loss right below the pattern formation/below the support level.
- 6). Exit target on the previous swing high.



GBP/USD Daily

Conclusion:

- Not all Inside Bars are created equal.
- Some Inside Bars have a large range and some a small range.
- An Inside Bar (with a small range) shows indecision in the markets
- Inside Bar can be used to trade reversals or the trend (it depends on the context of the markets)

Inside Bars with a small range are better breakout candidates as it offers a more favorable risk to reward

TRADING PIN BAR STRATEGY

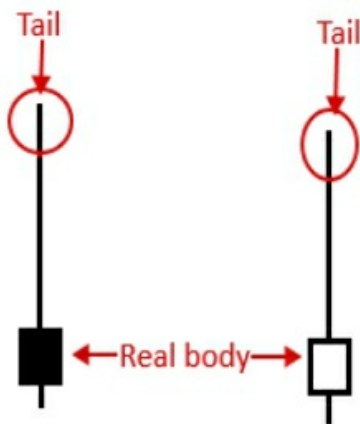
The Pin Bar Pattern (Reversal Or Continuation)

A pin bar pattern consists of one price bar, typically a candlestick price bar, which represents a sharp reversal and rejection of price. The pin bar reversal as it is sometimes called, is defined by a long tail, the tail is also referred to as a “shadow” or “wick”. The area between the open and close of the pin bar is called its “real body”, and pin bars generally have small real bodies in comparison to their long tails.

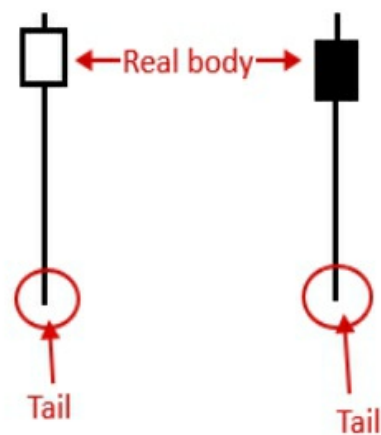
The tail of the pin bar shows the area of price that was rejected, and the implication is that price will continue to move opposite to the direction the tail points. Thus, a bearish pin bar signal is one that has a long upper tail, showing rejection of higher prices with the implication that price will fall in the near-term. A bullish pin bar signal has a long lower tail, showing rejection of lower prices with the implication that price will rise in the near-term.

Pin Bar Patterns

Bearish pin bars:



Bullish pin bars:





How to Trade with Pin Bar:

When trading pin bars, there are a few different entry options for traders. The first, and perhaps most popular, is entering the pin bar trade “at market”. That simply means we enter the trade at the current market price.

Note: the pin bar pattern must be closed out before entering the market based on it. Until the bar is closed as a pin bar pattern, it’s not really a pin bar yet.

Another entry option for a pin bar trading signal, is entering on a 50% retrace of the pin bar. In other words, we would wait for price to retrace to about the halfway point of the entire pin bar’s range from high to low, or its “50% level”, where we would have already placed a limit entry order.

A trader can also enter a pin bar signal by using an “on-stop” entry, placed just below the low or above the high of the pin bar.





USD/CHF H4

here we find a good set up for Pin Bar trading

- 1). Price breakout the 50 EMA
- 2). Price creates ne higher high and higher low
- 3). Price bounce back retest 50 EMA
- 4). Ceates a Pin Bar patern with long lower wick indicates strong rejection from buyer at 50 EMA
- 5). Get ready to go long once strong bullish momentum breaks the upper wick of Pin Bar pattern
- 6). Set stop loss at pinbar lower wick
- 7). Once the price goes into our favor, trailing stop use EMA

TRADING PIN BAR SIGNALS IN A TRENDING MARKET

Trading with the trend is arguably the best way to trade any market. A pin bar entry signal, in a trending market, can offer a very high-probability entry and a good risk to reward scenario.

Find any key levels whether it's support or resistant. Once the price broke those levels, wait for the pullback toward the level and forming Pin Bar pattern. Using EMAs or trendline will help to act as support and resistant too.

In the example below, we can see a bullish pin bar signal that formed in the context of an up-trending market. This type of pin bar shows rejection of lower prices (note the long lower tail), so it's called a "bullish pin bar" the implication of the rejection will push the price higher.

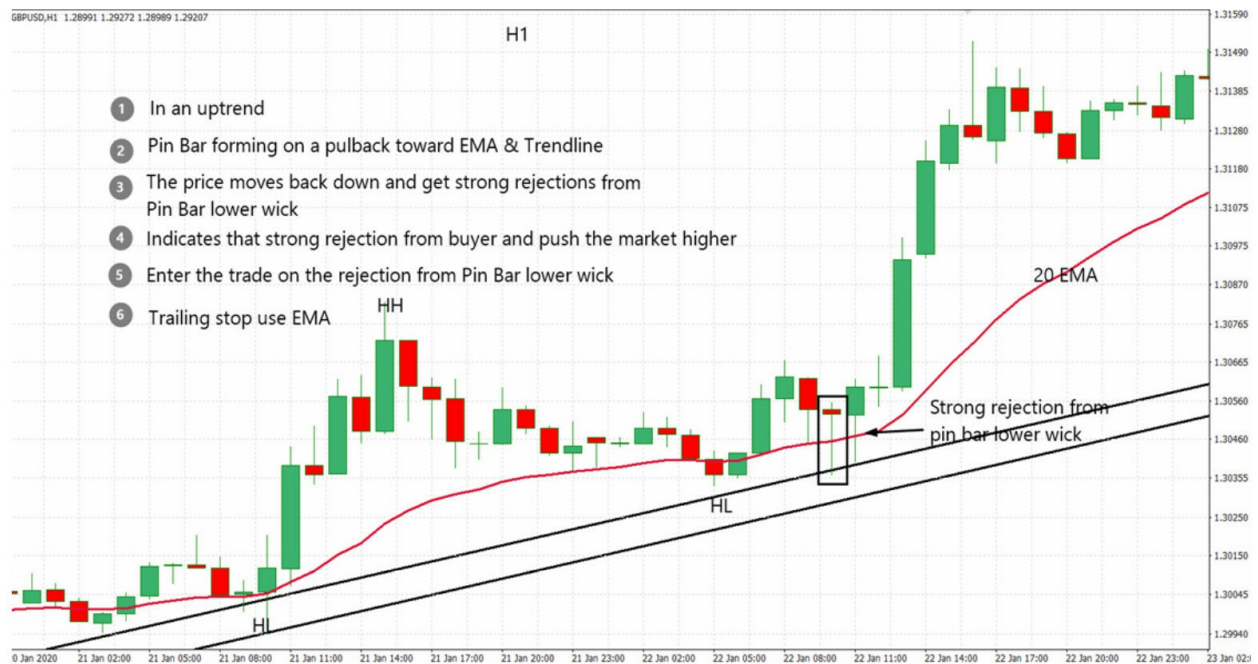


AUD/USD H1

Price move in an uptrend its creating new higher highs & higher lows

Price pullback toward EMA and forming a Pin Bar pattern

This indicates of strong rejection from buyer and push the market higher to continue the trend direction.



Another way to trade Pin Bar is, when the prices goes back down and get rejection from Pin Bar lower wick. Enter immediately after price reject from this level.

GBP/USD H1. Pin Bar pattern forms in uptrend on the pullback





Example for EUR/JPY H4

Once the price move to the higher direction or above the EMA or trendline

Look for an entry point with Pin Bar confirmation that forming on the pullbacks

The rules:

1. Price creates new higher highs & higher lows above the EMA/trendline
2. Wait for the pullback to occur toward EMA or trendline
3. Look for a Pin Bar pattern that forms on the area of pullback
4. Entry once pattern has completely forms and the next candle cross higher the Pin Bar upper wick
5. The more longer the rejection is the better.
6. Exit once strong bearish momentum breakout and closes below the EMA or trendline

TRADING PIN BAR AGAINST THE TREND

When trading a Pin Bar counter to, or against a dominant trend, it's widely accepted that a trader should do so from a key chart level of support or resistance. The key level adds extra 'weight' to the Pin Bar pattern, just as it does with counter-trend inside bar patterns. Any time we see a point in the market where price initiated a significant move either up or down, that is a key level to watch for Pin Bar reversals.



GBP/USD H1

- 1) Price in a strong downtrend and creates the support level from previous swing low
- 2) Pin Bar pattern has forms on the support level indicates very strong rejection from buyers
- 3) RSI indicator creating divergence pattern
- 4) Enter once the strong bullish candle has crosses Pin Bar upper wick
- 5) Stop loss right below the Pin Bar lower wick or below the support area
- 6) Profit target on the previous resistant



GBP/USD H1

Trading rules:

1. Trending up direction
2. A Pin Bar pattern has forming at the resistant level
3. Very long upper wick rejected from resistant
4. RSI form divergence pattern with new higher high while price creates the equal highs
5. Enter the trade once next bullish candle has cross down the Pin Bar lower wick
6. Profit target at previous support level
7. Or trailing stop use EMA

SHOOTING STAR PATTERN STRATEGY

Trading Shooting Star conjunction with the trend



Here's how it works...

- Market structure
- Area of value
- Entry trigger

What's the current market structure?"

"Is it in an uptrend, downtrend, or range?"

Since the Shooting Star candlestick pattern is a bearish pattern, we'd want to trade it in a downtrend.

Now just because the market is in a downtrend doesn't mean we go short as the price could be at an "extreme" level

(and about to snap back higher).

So, what we want to do is to trade from an area of value

For example...

- Moving Average
- Resistance area
- Trendline
- Etc.

This refers to the specific “pattern or signal” that will get we into the trade. Shooting Star candlestick pattern, let’s use this as an entry trigger.

We enter the trade after Shooting star has completely forms and the next bearish candle has crossed the Shooting Star lower wick.

Shooting Star form at any certain resistant level or EMAs or trendline indicated for the signal might be strong movement to continue the downtrend direction.

But remember, the Shooting Star is only one variation of bearish price rejection.

Shooting star is a single bearish pattern, use it on the direction of the trend will give high accuracy signal to go short. Use shooting star upper wick to set the stop loss. We may combine it with EMAs for the direction of the trend.



Tips: When we trade The Shooting Star candlestick pattern, we want to focus on trading the major Resistance levels (the ones which can be seen on the higher time frame). Shooting Star entry point same as Pin Bar Pattern, once the next candle price rejection from about 50% of its wick or entry on after shooting Star pattern completely covered by strong bearish momentum.

3 powerful tips to increase the probability of winning trades

- Focus on the major Resistance levels,
- The stronger the price rejection, the better
- The stronger the momentum, the better

Shooting Star Trading Tips

- Shooting star basically show a reversal in the market, so they are a very good tool for predicting the near-term, and sometimes long-term, direction of price. They often mark major tops or bottoms (turning points) in a market.
- Not every Shooting star is going to be one worth trading. The best ones occur in strong trends after a retrace to support or resistance within the trend, or from a key chart level of support or resistance.
- Longer tails on a Shooting Star indicate a more significant reversal and rejection of price. Thus, long-tailed tend Shooting Star to be a little higher-probability than their shorter-tailed counter-parts. Long-tailed Shooting Star also tend to see price retrace to near the pin bar's 50% level more often than shorter-tailed pins, this means they are typically better candidates for the 50% retrace entry discussed previously.
- Shooting Star will show up in any market. Be sure we practice identifying and trading them on a demo account before trading them with real money. Practice makes perfect.
- As a beginner, keep our eyes peeled for hourly chart time Shooting Stars as well as 1 hour or 4 hour chart time frame, as they seem to be the most accurate and profitable.



GBP/USD H1

Shooting star forms on the Pullback toward EMAs value area. Strong rejection from the 50 EMA. Enter once strong bearish momentum closes below the 20 EMA

2.THE MOVING AVERAGES TRADING STRATEGY

The moving average is one of the most versatile trading indicators I've come across, and it can be used in different ways we never thought possible

This isn't a basic guide where we'll learn the difference between simple, exponential, or weighted MA. These are advanced moving average trading strategies that will give us conclude about the directions of the trend.

MOVING AVERAGES CONJUNCTION WITH THE TREND

In this strategy we will use combination of Moving averages with candlestick pattern as confirmation

We've probably heard the saying "buy low and sell high". But the question is... how do we define what's low and high?

This is where the MA indicator can help.

There's no best MA out there.

Rather, we need to find something that's aligned with our trading approach.

- *If we're trying to trade long-term trends (on our given time frame), then the 200 EMA would be suit.*
- *If we're trying to trade mid-term trends (on our given time frame), then the 50 EMA would be suit.*
- *And 20 EMA for short-term (on our given time frame).*

Now we're probably wondering "How does this help with our trading entries?"

Some important considerations to ask our self:

1. Do we wait for price "confirmation" before entry?
2. What markets are we trading?
3. Which time frames are we trading?
4. How much will we risk on each trade?

Confirmation:

This is one of most crucial part in trading. It can help to eliminates of fake movement/fake breakout.

Market:

Chose market that respect support and resistant level in the past time. Because it might be high probability to do the same in future movement.

Time frame:

We must choose a time frame that suits our personality and schedule.

If we're someone who holds a day job, trading the 4 hour and daily charts would be suitable.

Risk management:

We must risk a fraction of our equity on each trade to survive the inherent draw downs. Keep our risk to no more than 1% of our trading account.

The Moving Average indicator helps we:

- Identify the path of least resistance
- Identify areas of value on our chart
- Set our stop loss
- Better time our entries
- Ride massive trends
- Pick the best markets to trade
- Can confirm Bullish Vs Bearish vs Sideways market conditions
- Moving Averages break through can be a possible signal trend changes

Here's the exact moving averages trading strategy we can use...

- Moving averages act as directions of the trend
- Moving averages act as Dynamic support and resistance
- Moving averages act as an entry and exit point and set for the stop loss

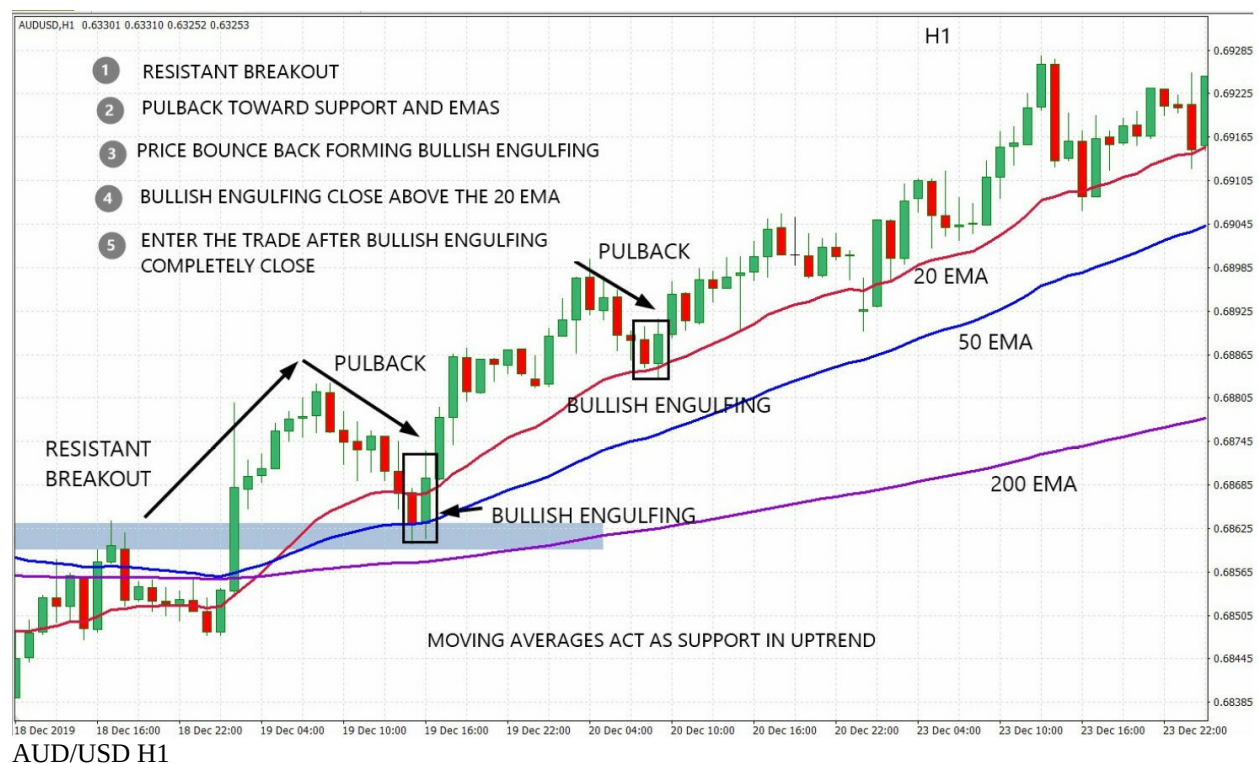
In this case we are going to use period 20 EMA, 50 EMA, and 200 EMA. We may use 100 EMA .

- If 200 EMA is pointing higher and the price is above it, then it's an uptrend (trading conditions).
- If it's an uptrend, then wait for test or pullback at the dynamic support (using 20 & 50-period MA).
- If price test dynamic support then go long on (our entry).
- If the price goes in our favor, then take profits when candle close beyond 50 EMA (our exit if we're right).

Vice versa for a downtrend

Here for the example for an uptrend

- 20 EMA (red) is above 50 EMA (blue), and both above 200 EMA (purple)
- Wait for pullback to retest 20 EMA or 50 EMA , get confirmation signal with candlestick pattern for the entry point and set the stop loss right below 50 EMA.



Note: Candlestick pattern must closed above 20 EMA. This indicates that the pullback has already ended as the buyer entering market with strong momentum to push the market higher and continuing its rally making new higher highs and higher low

In this example when the price pullback toward EMAs, its forming Bullish Engulfing pattern and trend continue going up.

Enter the trade once bullish engulfing completely form and price break the pullback trendline.

Set stop loss below 50 EMA. Trailing stop loss using moving averages to protect profit. Confirmation candles must close above 20/50 EMA.

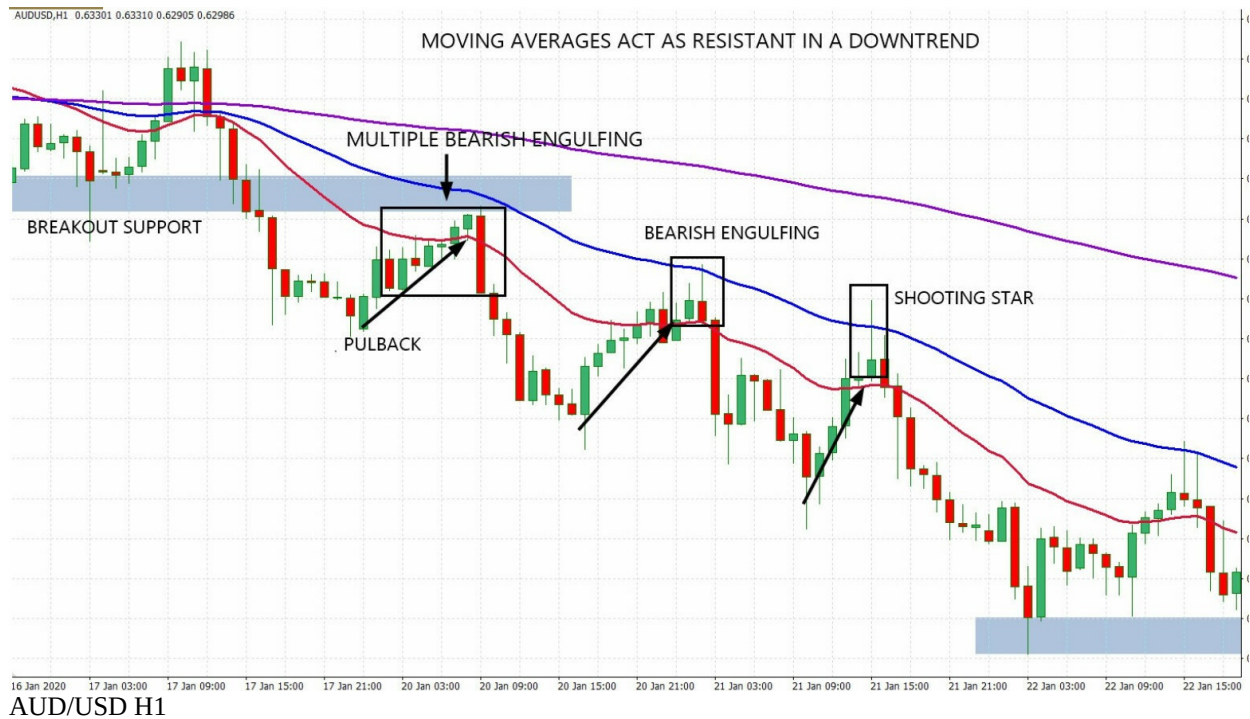


AUD/USD H1

Example for the downtrend direction use EMA as the trend direction.

The rules:

1. In a downtrend direction price has rally below the EMAs
2. Once the price pullback towards EMAs area draw the trendline on the pullback
3. Look for the price action pattern to form at these level
4. Then wait for strong bearish momentum to break down the pullback trendline
5. Candle should to close below the 20 EMA
6. Enter the trade once all conditions are met
7. Stop loss right above the pattern formation or above the EMA
8. Use trailing stop for exit



For the downtrend direction price creates new lower highs & lower lows, wait for the pullback to occur towards EMAs value area and look for candle formation. In this situation we are only looking to go short to the downtrend direction. Once the pattern has completed wait the price to close below the 20 EMA then entering the trade to go short. If the candle breakout is too big wait for the price to move back up little bit to get better entry point. Stop loss right above the pattern formation

MOVING AVERAGES ACT AS SUPPORT & RESISTANCE

In this example we can see that the price has been tested area of value in between 20 EMA & 50 EMA for few times before continuing its trend.

Example for GBP/USD daily



Note:

- Only looking for long position in an uptrend after price pullback retest EMAs value area, price action pattern as our confirmation signal.
- Looking for short entry in a downtrend, after price pullback retest EMAs value area and price action as our confirmation signal.

However, it's not the only way. We can use 100 or 200 MA, and it works fine.



GBP/USD Daily

1. Trend is clearly in upward movement
2. Price has pullback toward the support level and the 50 EMA
3. There's forming the Double Pin Bar pattern on the support area
4. This indicates of strong rejection from buyer
5. Enter after the bullish candle closes above the EMA
6. Profit target to the previous higher high
7. Or use trailing stop for exit



GBP/USD H4 Timeframe

The rules:

- 1) Price rally to the downtrend direction
- 2) There's pullback occur toward the 50 EMA
- 3) Forming the Bearish Engulfing pattern
- 4) Enter the trade after the pattern completely close
- 5) If the candle pattern is too large wait the price to move up little bit to et better entry point
- 6) Stop loss right above the engulfing formation
- 7) Profit target on the previous swing low or use trailing stop for exit



Example on EUR/JPY Daily

1. Price has break down the support level and stay below the 50 EMA
2. There's gap down and forming Bearish Engulfing pattern
3. Enter after pattern has completely forms
4. Price fails to fill up the gap and continue strong movement to the downtrend
5. Set stop loss above the pattern or above the gap
6. profit target on the previous swing low or use trailing stop for exit

Note:

When the price above EMAs represents a possible bullish market and an uptrend.

When the price below EMAs represents possible bearish market and a downtrend.

If the EMAs moved going through the price represent a directionless sideways market.

Strong trend identified when the price rally and keep makes a new higher highs & higher lows above 20 EMA.

Healthy trend identified when the price rally and makes higher high & higher lows in between 20 EMA and 50 EMA.

Multiple rejections from the EMAs value area is possible sign that the price will continue its rally.

A breaks through EMAs can be signal possible change of the trend.

200 period of EMA is represent for major trend directions.

Use these as ideologies and not the law, because again we do not use moving averages on their own for the trade entries. We pair them what we have already established with price action to **“increase trade quality”**

USE RSI & MOVING AVERAGES TO DETERMINE STRENGTH OF THE TREND

The rules for uptrend:

- 20 EMA crossed up 50 EMA and both above 200
- RSI indicator crossed up above 70 level
- Wait for the pullback the price to test back moving averages value area
- RSI tested 50 level and moved back up
- Wait for confirmation candlestick pattern as an entry point
- Trailing stop loss using moving averages once the price goes into our favour
- And vice versa for the downtrend



Example for USD/CHF on H4 Timeframe

Note: RSI above stay above 50 level after broke the 70 level indicates an uptrend. Combine with the Moving Averages strategy and price action & Chart pattern as confirmation signal to go long.



Example for USD/CHF in H4

1. In a downtrend direction Price create new lower highs & lower lows below the EMAs
2. Price pullback toward EMAs, RSI Moves up to the middle line(50 level)
3. Draw the pullback trendline both Price chart and RSI
4. Look for pattern formation
5. Wait for strong bearish momentum to breakdown the pullback trendline
6. At the same time RSI breakdown trendline and moves back below 50 level
7. Entry after trendline completely breakout and candle close below the 20 EMA
8. Stop loss right above the pattern formation or above the EMA
9. Trailing stop use the EMAs or Exit once strong bullish candle breakout and close above the 20 EMA

Use candlestick pattern in conjunction with the trend to provide more accuracy. Candlestick telling us story behind of its movement.

Price Action Pattern Formation	
<i>Uptrend Direction</i>	<i>Downtrend Direction</i>
<i>Bullish Engulfing</i>	<i>Bearish Engulfing</i>
<i>Inside Bar</i>	<i>Inside Bar</i>
<i>Bullish Pin Bar</i>	<i>Shooting Star</i>
<i>Bullish Hammer</i>	<i>Bearish Hammer</i>

Chart Pattern	
Double Top	Double Top
Head & Shoulder	Head and Shoulder
Falling Wedge	Raising Wedge

Price action pattern and chart pattern that with high probability set up in the direction of the trend. All those formations are effectively to apply once the price has pullback toward certain level such as support & resistant, trendline, Moving Averages or combination with RSI Indicator. The pattern formation act as confirmation signal and for the entry trigger.



Example for USD/JPY in H4

- 1) Price is going down move beyond below all the EMAs
- 2) When RSI goes through below the 30 level, wait it for the pullback toward 50 level
- 3) And price pullback toward EMAs value area
- 4) Draw the trendline on the pullback
- 5) Look for candle pattern formation on the pullback
- 6) Wait the strong bearish momentum to break the trendline
- 7) At the same time RSI move back below the 50 level
- 8) Bearish candle should to close below the 20 EMA then enter the trade

COMBINED EMAS, CHART PATTERN, RSI TRENDLINE, & PRICE TRENDLINE

The rules:

- When the trend is up, all EMAs pointing up, wait for pullback and candlestick pattern.
- Draw the trendline both on price chart & RSI, wait till both trendline break out.
- Breakout candle must be bigger size than the green one, sign of seller already gain its power to push the market higher.
- There's Chart pattern such as Double top, Head & Shoulder pattern on the pullback that has high probability trading set up.
- Draw RSI trendline with minimum 2 peaks to connect each other.
- If there's impossible to draw trendline on RSI, so don't force to draw. Just leave it and find another good set up.
- Be careful when 20 EMA getting closer to 50 EMA and the bullish candle getting smaller and smaller, its sign the market has loss momentum. And reversal might be sign of reversal.
- Make sure RSI break up above 50 level.
- This set up works good on high time frame minimum H1 or H4.
- Understand there is no Magic in trading

Moving average works best in trending markets (whether it's a strong, healthy, or weak trend). But if the market is in a range, the moving average has little significance and it's best to ignore it.



Here is the example for an uptrend USD/CHF

1. In an uptrend direction price move beyond and creates new higher highs & higher lows above all the EMAs.

2. Pullback occurs toward 20 & 50 EMA and forming a Double Bottom pattern
3. Draw trendline on the pullback both price chart & RSI
4. At the same time RSI forming a Double Bottom
5. Wait for strong bullish momentum to breakout the Double Bottom neckline
6. And RSI breakout the pullback trendline cross above the 50 level
7. Enter the trade after after completely breakout
8. Stop loss right below the Double Bottom formation/below the EMA
9. Trailing stop use the EMA



Example for GBP/USD on H1 timeframe

Uptrend direction

- 1) Price pullback little bit deeper toward the EMAs
- 2) Draw the pullback trendline on the both price chart & RSI
- 3) Forming a Double Bottom both price and RSI
- 4) Wait for strong bullish momentum to breakout the neckline
- 5) At the same time RSI breakout the pullback trendline and cross above the 50 level
- 6) Enter the trade after all condition are meet
- 7) Breakout candle should to close above the 20 EMA, strong but not too large
- 8) Stop loss right below the Double Bottom formation
- 9) Trailing stop use the EMA

In the next example is for downtrend direction:

The rules:

- When the trend is down, all EMAs pointing down, wait for pullback and candlestick pattern.
- Draw the trendline both on price chart & RSI, wait till both trendline breakout.
- Breakout candle must be bigger size than the red one, sign of seller already gain its power to move the market lower
- There's Chart pattern such as Double Bottom, Head & Shoulder pattern on the pullback that has high probability trading set up.
- Draw RSI trendline with minimum 2 lows to connect each other.
- If there's impossible to draw trendline on RSI, so don't force to draw. Just leave it and find another good set up.
- Be careful when 20 EMA getting closer to 50 EMA and the bearish candle getting smaller, its sign the market has

loss momentum. And might be sign of reversal.

- Make sure RSI break up above 50 level , also we can see if there is divergence/convergent in RSI
- This set up works good on high timeframe minimum 1 hour & 4 hour.
- Understand there is no Magic in trading

Note:

Do not use Moving Averages on their own for trade entries. We pair them with what we have already Established with price action to “ INCREASE THE TRADE QUALITY”



Example for EUR/USD on H4 Time frame

1. Sell high in the direction of the downtrend
2. Once the price has rally's below the EMAs
3. Pullbacks occurs toward EMAs value area
4. RSI pullbacks toward the 50 level
5. Draw a pullback trendline both on the price & RSI
6. Forming a Double Top pattern
7. There's a Multiple Inside Bars pattern forms on the second lower high of Double Top
8. Wait for strong bearish momentum to break the Multiple Inside Bars and the neckline
9. Candle breakout close below the 20 EMA
10. At the same time RSI breakdown the trendline crosses below the 50 level
11. Enter the trade once all conditions already completed
12. Stop loss right above the Double Top formation/above the Inside bars pattern



EUR/USD H4

Note: find double top pattern in a downtrend direction after pullback (retrace). It should be under EMA 200 or EMA 50 value of area.

Wait the candle closed back below 50 or 20 EMA, and RSI crossed down below 50 level:

1. In a downtrend direction
2. Price rally's below all the EMAs
3. There;s pullback toward EMAs and RSI pullback toward the 50 level
5. Draw pullback trendline both price & RSI, minimum connected for 2 swing lows
6. Price forming Double Top with equal highs also there's Shooting star form rejected fro 200 EMA
7. RSI forming divergent pattern with new lower high
8. Wait for strong bearish momentum to breakout the neckline and RSI breakdown the pullback trendline crosses below the 50 level
9. Enter on the next candle, stop loss above the EMA



EUR/JPY H1

1. Double Bottom formation in an uptrend:
2. Price in an uptrend direction
3. Pullback toward the EMAs value area
4. RSI pullback toward the 50 level, Draw the trendline on the pullback
5. Price creates a Double Bottom pattern
6. Wait for strong bullish momentum to breakout the neckline and RSI breakout trendline
7. Enter the trade on the next candle after breakout has completed
8. Stop loss right below the Double Bottom swing low
9. Trailing stop use EMA for exit



AUD/CHF H1

- 1) In a downtrend direction
- 2) Price pullbacks and creates a Double Top on the EMAs value area
- 3) RSI pullback and creates Double Top pattern
- 4) Wait for strong bearish momentum to breakout the neckline
- 5) And RSI break down the pullback trendline crosses below the 50 level
- 6) Enter the trade once all conditions are completed
- 7) Stop loss right above the pattern formation /above the EMAs

3.THE BOLLINGER BANDS TRADING STRATEGY

Bollinger Bands is a trading indicator (which consist of 3 lines) created by John Bollinger.

It can help we:

Identify potential overbought/oversold areas

Identify the volatility of the markets

Now we're probably wondering:

“What do the 3 lines mean?”

Upper band – Middle band plus 2 standard deviation

Lower band – Middle band minus 2 standard deviation

Middle band – 20-period Moving Average

Note: used the default settings for Bollinger Bands which is 20-period moving average and 2 standard deviations for the upper and lower bands.



TRADE WITH THE TREND USING BOLLINGER BANDS

Middle line of the Bollinger Bands is simply a 20-period moving average

And in strong trending markets, the 20-period moving average can act as an “area of value”.

This means when the market pullback towards the 20 MA, it’s an opportunity for we to get long (or short).

An example: The price bouncing off the 20-period moving average and it offers shorting opportunities

- Look to long the lower band in an uptrend or above 200 EMA (and vice versa)
- Reversal candlestick patterns that show signs of reversal
- The outer bands coincide with Support and Resistance



EUR/JPY H1

Buying opportunity in uptrend.

Price breaks the resistant level and the upper band

and we see that price has pulled back toward the middle line, it's the right time to look for the candlestick formation to support our entry. For uptrend direction we can use Inside bar pattern, Pin Bar pattern, Bullish Engulfing pattern for entry trigger. Also chart pattern such as double bottom and Falling wedge will work good to combine with Bollinger Band strategy.



EUR/JPY H1

Price rally's below the middle band after breakout the lower band

There's pullback toward the middle band. Price get rejected for the middle band and quickly strong bearish momentum cover up the bullish pullback candle. And trend continue its direction.

The middle band area is good opportunity to go short in a downtrend direction, just wait for price to pullback and get rejection from this level.

Look for price action pattern as entry trigger such as Inside Bars pattern, Shooting Star, Bearish Engulfing, and also chart pattern formation that we may apply on it.

This set up will help us to get better entry to go with the trend.

BOLLINGER BANDS SQUEEZE

Volatility is always changing.

The markets move from a period of high volatility to low volatility (and vice versa).

If we're a new trader, it can be difficult to identify the volatility of the markets.

Bollinger band squeeze means market in low volatility or in ranging mood. This indicates that buyers & sellers are indecisive.

So, This is where Bollinger Band can help because it contracts when volatility is low and expands when volatility is high and to identify explosive breakout trades about to occur



we use Bollinger Bands to anticipate a possible breakout?

Simple. Look for the Bollinger Bands to contract (or squeeze) because it tells us the market is in a low volatility environment. Why? Because volatility tends to expand after contraction!



Brent Crude Oil Weekly

Price moves in a range between upper and lower band, finally price breakout the support level and the lower band with built up strong momentum.

Once the price breakthrough the support level, look for candle formation to confirm the direction of the new trend

IDENTIFY THE DIRECTION OF THE BREAKOUT

Although Bollinger Bands can alert us to potential breakout trades, it doesn't tell us the direction of the breakout. However, we don't need to be Einstein to figure out where the market is likely to go. Because all we need to do is look at the trend.

Look at the chart below:

USD/JPY H1



Where do we think the market is likely to breakout, higher or lower?

Probably lower because the trend is down.



Yes, price is breakdown the support level with strong bearish momentum and continue the trend direction.

Once the price has pullback toward the middle line, look for pattern formation to support better entry point to go short.

If the candle breakout is too large it's better to wait for the price to move little back toward the middle band and look for candle pattern or chart pattern for the good entry.

TRADING BOLLINGER BAND WITH RSI INDICATOR

In this strategy we are going to add Exponential Moving Average with period 50 as the trend directions. We may use another period 100 or 200 EMA. That's fine.

Here's important things to analyse market before we jump into the trade. Choose the good market conditions, means price moves in steady movement, respect support and resistant in the past and the candles formations size are steady not too much large candle or too much long wicks candle.

This shows that market is calm and predictable movement. As well fundamental analysis such a big news in the market will effect the price movements. So, should to combine it together between good technical analysis & fundamental analysis before we start trading.

The rules:

- BB 20 above EMA. Trending up direction
- RSI should be above 50 level
- Wait for the pullback or BB squeeze and look for the candlestick pattern as confirmations
- The candle breakout must be bigger size than previous one
- RSI moved back up above 50 level after retracement
- And vice versa for downtrend direction
- Trailing Stop loss using middle Bollinger Band

CHF/JPY H1



CHF/JPY H1

1. Price in the downtrend direction
2. BB squeeze and RSI creates new higher lows while price creates new lower lows
3. Draw the trendline both price and RSI pullback

4. Wait for strong bearish momentum to breakout the lower band and RSI breakout trendline
5. Once breakout occurs, wait for the pullback toward the middle band
6. Bearish Engulfing forms and close below the middle band, Enter the trade.
7. Stop loss right above the 50 EMA or the upper band

Repeat the same step before entering the trade: *Trend, Pullback, Pattern, Breakout, Entry, Stop Loss, Exit.*

BB, RSI DIVERGENCE

For short entry, price should break the lower band, below middle band & 50 EMA after divergence confirm. Wait for the pullback and candle pattern & RSI breaks below 50 level to support our entry. Stop loss at upper band.

In this example clearly, we can spot RSI divergence. Price make new higher high but RSI creates new lower high

Once the price breaks the middle band and lower band, also RSI indicator break down the 50 level

Wait for the pullback toward middle band and look for price action pattern to form as confirmation signal.

The concept: *Divergence, Breakout Middle, ema 50, lower band, RSI below 50 level, Pullback, Pattern/breakout, Entry, Stop Loss.*



EUR/SGD Daily RSI divergence for short entry.

For Long entry, price should break the upper band, above middle band & 50 EMA after Divergence confirm. Wait for the pullback and candle pattern, RSI have to break above 50 level to support our entry. Stop loss at lower band. Trailing stop loss using middle band or 50 EMA once the price goes into our favour.



EUR/SGD Daily

- 1). RSI creates new Higher low and price creates Equal Lows
- 2). Strong bullish momentum breakout resistant an the upper band
- 3). RSI crosses above the 50 level and breakthrough above the 70 level
- 4). Bullish Engulfing forms on the small pullback after breakout resistant
- 5). Enter after pattern has completely forms
- 6). Stop loss below the 50 EMA
- 7). Trailing stop once the price goes into our favour

BB, RSI & CHART PATTERN

Double Top for short entry:

Price should break the lower band, below middle band & 50 EMA after double top forming. Wait for the pullback and candle formation to support our entry . RSI should break down below 50 level.

Double Top EUR/SGD H1



Uptrend direction

1. Price fails to create new higher high and forming a Double Top pattern
2. Wait the price to breaks the middle band, EMA 50 and the lower band
3. RSI break down the 50 level
4. Wait for the pullback toward the middle band and the 50 EMA
5. Look for the candle pattern to confirm an entry point



Double Top AUD/CAD H1

The same rules we use for this trading set up. After the double top completely forms, wait for the price to break down the middle band and the lower band. There's multiple inside bars pattern on the price pullback. Wait for the pattern completely broke with strong bearish momentum.

RSI must below the 50 level If the candle breakout is too large better to wait for the price to little back up to get good entry point. Set stop loss right above the upper band on the entry point, exit when the strong bullish momentum breaks the upper band and EMAs.

Concept: *Chart pattern, Breakout middle, lower band and 50 EMA, Pullback, Candlestick Pattern, Breakout, RSI below 50 level, Entry, Set Stop Loss.*

Double Bottom for long entry:



Concept: Chart Pattern, Breakout middle and upper band and 50 EMA, Pullback, Candlestick Pattern, Breakout, RSI below 50 level, Entry Stop Loss.

- 1) Price is in a downtrend direction
- 2) Forming a Double Bottom
- 3) Wait the price to breakout the middle band, 50 EMA, and the upper band
- 4) Price pullback toward the middle band and the neckline
- 5) Multiple Inside Bars forms on the pullback
- 6) Wait for the pattern to completely breakout with strong momentum
- 7) Enter the trade and set stop loss right below the Inside Bars pattern/below the lower band



Double bottom for long entry, price should break the upper band, above middle band & 50 EMA. Wait for pullback and candle formations. RSI should break above 50 EMA. Stop loss at lower band. Trailing stop loss using 50 EMA.

AUD/CAD M30

The same rules we use for double bottom setup. Once pattern completely forms wait till the price breakout the middle line and the upper band also RSI cross up the 50 level.

If there is too large breakout candle, it's better to wait for the pullback to get good entry point. Look for the price action pattern that's form on the pullback toward support level. Enter the trade once the pattern completely breaks with strong momentum.

Apply the same concept before entering the trade. Find the nearest support/resistant that might be possible the price to pullback. Sometimes price pullback little bit deeper, before finally back to the direction.

ASCENDING / DESCENDING TRIANGLE

Ascending Triangle, for long entry. Price fails to make new Lower Lows, and forming new higher lows instead. Wait for break the resistant and upper band. RSI should break above 50 level. Wait for Candle pattern to support our entry



If the breakout Candle is too large, it's better to wait for the pullback toward support level. As we can see it forming a Pin bar pattern on the pullback

1. In the downtrend direction price creates Ascending triangle
2. Price breakout the resistant and the upper band and RSI above the 50 level
3. Wait for the pullback toward the middle band and the 50 EMA & the new support
4. Look for the candle pattern formation (in this example is Pin Bar pattern)
5. Enter the trade once the bullish candle cross higher than the Pin Bar upper wick
6. Stop loss at the lower band or right below the Pin bar lower wick



EUR/USD H1

- 1) Price creates fails to create new lower low and creating new higher lows instead
- 2) Strong bullish momentum breakout the middle band, EMA 50, and the upper band
- 3) Wait for the pullback toward the middle band and the new support
- 4) Multiple Inside Bars pattern forming on the area of pullback above the middle band
- 5) Wait for strong bullish momentum to break the Multiple Inside Bars pattern
- 6) RSI should above the 50 level
- 7) Stop loss right below the Multiple Inside Bars/below the lower band
- 8) Trailing stop for Exit

Descending Triangle for short entry:

Price fails to make new higher highs and forming new lower lows instead. Price should break lower band, below middle band & 50 EMA. Wait for pullback or candle pattern to support our entry. Stop loss at upper band on our entry point.



1. Price creates new lower highs
2. Break the middle band, EMA 50, and the lower band
3. Price pullback and breakdown the support level and forming Inside Bar+Bearish Engulfing
4. Enter the trad after pattern has completely breaks
5. RSI below the 50 level
6. Exit using trailing stop



After Support & lower band completely break by strong Bearish momentum, look for price action pattern to confirm our entry. If the candle breakout is too large, its better to wait for the pullback for the good entry.

The same concept:

- 1) Chart pattern
- 2) Breakout the middle band, EMA 50, and the lower band
- 3) Pullback toward the middle band and the 50 EMA and new resistant level
- 4) Forming Bearish Engulfing candle closes below the middle band
- 5) RSI below the 50 level
- 6) Enter the trade and use trailing stop for exit

4.TRENDLINE & SUPPORT RESISTANT STRATEGY

TRENDING TRENDLINE TRADING

A Trendline is a tool we draw on our charts. It can help us identify the direction and the strength of a trend.

But before I get to it, we must learn how to draw trendline the correct way.

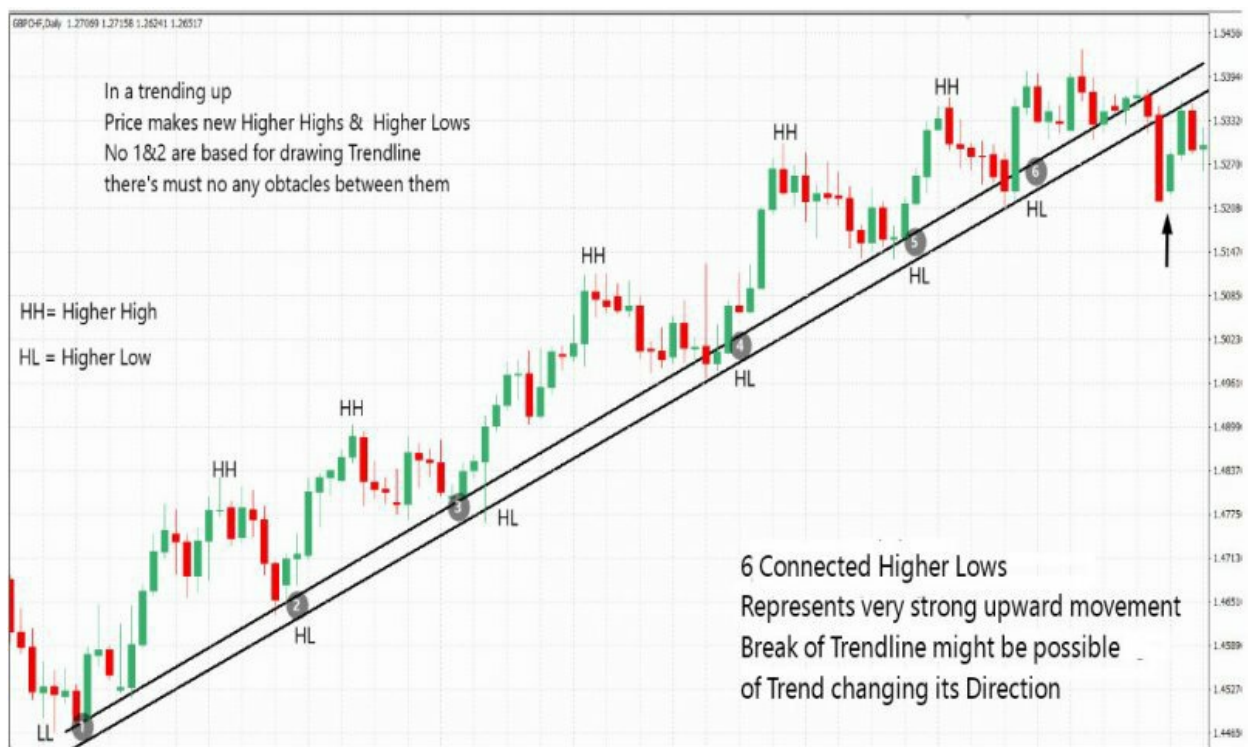
How to draw trendline,

Look for at least 2 swing points (it could be a higher low or lower high)

Connect the swing points using a trendline. Get as many “touches” as possible on the trendline

It does take a bit of practice and skill to be able to draw inner trendline when it comes to picking which two points to use. The more we practice, the more we will be able to do this easily.

The successful application of the trendline trading strategy depends a lot on our drawing quality and valid trendline.



Here's example for GBP/CHF Daily

Connect a minimum of 2 troughs (or higher lows) with a line and we have an upward trendline.

We may draw a single trendline that suits and easy for us Its fine too. Drawing double trendline can help to eliminate of fake breakout or early turning point of the market directions.

We will notice on charts that the most reliable or strong trendline are gently sloping trendline. The steeply sloping trendline are generally, very unreliable.



Here's example for GBP/CHF daily

Connect a minimum of 2 peaks (or highs) with a line from left to right and we have a downward trendline.

The close of 1hr and 4hr timeframe candlesticks are very important in determining if the trendline is likely to be broken or not.

- If we see a 1hr candlestick closed below an upward trendline, there is a great chance that that trendline is now intersected and price will continue to move down.
- The opposite is also true for downward trendline

This is the power of the Trendline Trading Strategy and it:

- is dead-simple to use
- allows we enter high probability trades with pin-point accuracy and capture maximum profits effortlessly
- is price-driven entry based on what happens on touch of Trendline
- is a trend following strategy that will allows we to make trades with the trend which means we have the odds stacked on our side.

Connect a minimum of 2 peaks (or highs) with a line from left to right and we have a downward trendline.

Connect a minimum of 2 troughs (or lows) with a line and we have an upward trendline.

Here's example for EUR/AUD on H1



Note: number 1 & 2 are based on drawing trendline. Number 3 & 4 are an entry point as the price retest the level and closed as bearish pattern for confirmation. There should not be any price obstruction between point 1&2.

The successful application of the trendline trading strategy depends a lot on we drawing quality and valid trendline.

REVERSAL TRENDLINE BREAKS TRADING



EUR/AUD H1

Number 1&2 are based of trendline enter after retracement on number 3 with candlestick pattern confirmations. A downward trendline is trendline drawn when we connect a minimum of 2 peaks or highs as shown below. Notice that the peaks or highs are obvious and are easily spotted by everyone.



Combine it with horizontal support & resistant area and candlestick pattern as confirmation signal exit and entry point. Set stop loss right above trendline area on confirmation candles. We may draw a single trendline that suits and easy for us Its fine too.

Drawing double trendline can help to eliminate of fake breakout or early turning point of the market directions. We will notice on charts that the most reliable or strong trendline are gently sloping trendline. The steeply sloping trendline are generally, very unreliable.



GBP/USD Daily Trendline break:

Trendline Breakout with strong bearish momentum. Look at the rally bearish candles before finally break the trendline. 5 connected higher lows indicates that very strong Trendline acting as support. Price fails to close higher than previous long wick that forms at previous higher high. It finally breakthrough of previous support level (higher low) and trendline.



Once the price breakout trendline, look for price action formation or chart pattern to form to support and establish our Strategy for entry.

There's as we can see after break support and trendline price forming multiple inside bars pattern. Wait it for completely breakout of multiple inside bars and get ready to go short.

Set stop loss right above support level, Trailing stop use EMA or may exit at previous swing low.

DRAW CHANNEL TRENDLINE

In trending market we can draw a channel to see the price movement more clearly

They also work as support and resistant level

A Channel is a variation of the Trendline.

The way we draw and interpretation it is the same as Trendline.

The only difference is... Channel has an extra line that's parallel to the Trendline.

Note: To draw both trendline and channel we have to zoom out our chart to get more touches level. Connecting minimal 2 swing highs or swing lows, once the price pullback to the trendline looks for confirmation candles as entry signals



Each lower low and Lower high level act as support and resistant. Once they broke wait for the pullback and candlestick pattern as confirmation.

Channel helps we identify where opposing pressure could come in. This means we can take profit ahead of time — before the price has a high probability of reversal.

Price won't always move this smoothly in trending markets but this is what we want to reference for what an ideal trend movement looks like. Breaks of trendline can be possible changing of the trend.

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Use base of trendline trading rules for the channel strategy, once the price breaks or price has pullback at previous support or resistant look for price action formation to support our entry.

DESCENDING/ASCENDING CHANNEL.

its known as pullback channels (Raising wedge or Falling wedge). In this example we use 50 period EMA and the price clearly at downtrend direction. Once the price move back up or retrace we draw channel on the price movement. See how harket behave on the moment of pulback and when it appoaching the key levels.

what we want to see is market gain momentum when approaching the key levels and slow down start to lose momentum thats confirm with smallers candles.

For the entry point wait until the price breakdown the channel with strong momentum. It will be high probability set up once combined with price action pattern such as engulfing pattern, Inside Bar, shooting star, etc.

Ascending Channel (Raising Wedge):

USD/CHF H1

In this example we find the good set up for short entry

1. Price ia going down
2. Price pulback toward the 20&50 EMA
3. Draw the channel on the pulback
4. Forming Inside Bar pattern
5. Wait for strong bearish momentum to breakdown the channel and Inside Bar pattern
6. Enter the trade after completely breakout
7. Breakout candle have to close below the 20 EMA



USD/JPY H1

In an uptrend direction, price has pullback toward EMAs value area. Draw trendline on both upper and lower movement. Wait for the breakout of trendline with strong momentum that's indicate buyer gain its power to push market higher. Notice there's candlestick pattern before finally breakout happens. An Inside Bar pattern forms before finally trendline breakout.

Set stop loss right below the swing low and trailing use EMAs. Exit when strong bearish momentum breaks down

the EMAs.

BULL / BEAR FLAG PATTERN

Once the price crossed up the 50 EMA and there's pullback, we connect the swing high and swing low and the pullback channel. In an uptrend this pattern known as Bull Flag pattern while in a downtrend its known as Bear Flag pattern.



EUR/GBP Daily

The length of the pullback can't exceed more than 50% length of previous swing high & swing low. Wait for channel to breakout with strong momentum, that indicates the seller already gain its power to push market lower. Set stop loss right above swing high. Trailing stop use EMA.



EUR/GBP Daily Bull Flag Pattern:

Note: Channel pullback in a downtrend its known as Raising Wedge, channel pullback in an uptrend its known as falling wedge. Wait for candle to breaks the channel with strong momentum to continue its trend

The length of the pullback channel can't exceed more than 50 % length of swing low to swing high.

Its working good to combine with Fibonacci retracement to measure the length of the pullback. Enter when the upper trendline breakout with strong momentum. If the candle breakout is to large, better to wait for the price to little pullback to get better entry point.

5.SUPPORT & RESISTANT STRATEGY

Support is defined as an AREA not lines on our chart where there is substantial buying pressure while resistance is an AREA not lines on our chart with a potential selling pressure. In some places, we will hear people referring to support as floor and resistance as roof. For us to understand how support and resistance works, first we need to understand that markets are either in a trend or a range at any given time. With that in mind, we can go on and plot our support and resistance levels.

Remember...

Patience pays in trading. Stop chasing the markets and let price come to us.

Mark out our SR areas in advance. Then look for trading opportunities when the price has come to our levels. If the price is elsewhere, stay out.

- For an uptrend to continue, it has to consistently break new highs. Thus, shorting at resistance is a low probability trade. Instead, going long at Support is a better trade.

Likewise:

- For a downtrend to continue, it has to consistently break new lows. Thus, going long at support isn't a good idea.

But, going short at Resistance is a great idea.

Market change the polarity when in uptrend resistant breakout then become support for the next coming trend. And change its polarity when in downtrend support breakout then become resistant for the next coming trend.

Support tends to break in a downtrend, Resistance tends to break in an uptrend

As per definition of an uptrend, the price punching through the resistance and pullback before it makes another higher high. Resistance changes its role to support

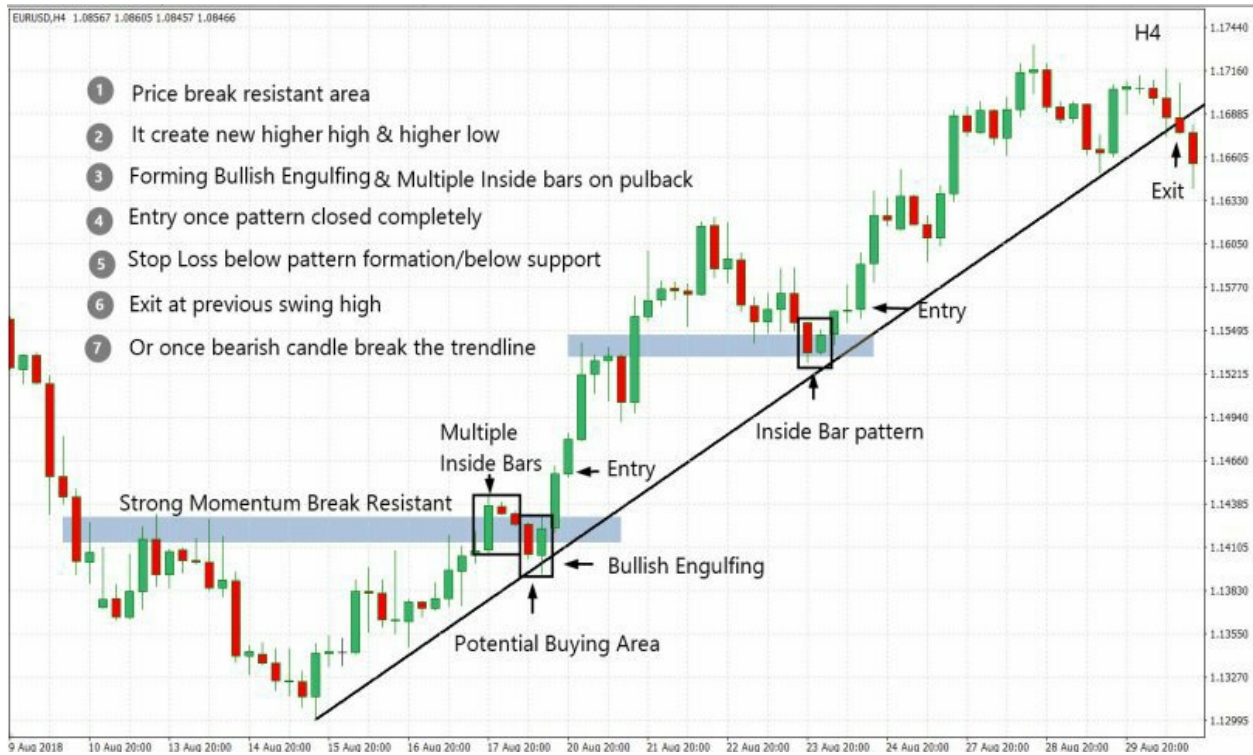


USD/CAD Daily

The market reverses at Support because there is buying pressure to push the price higher.

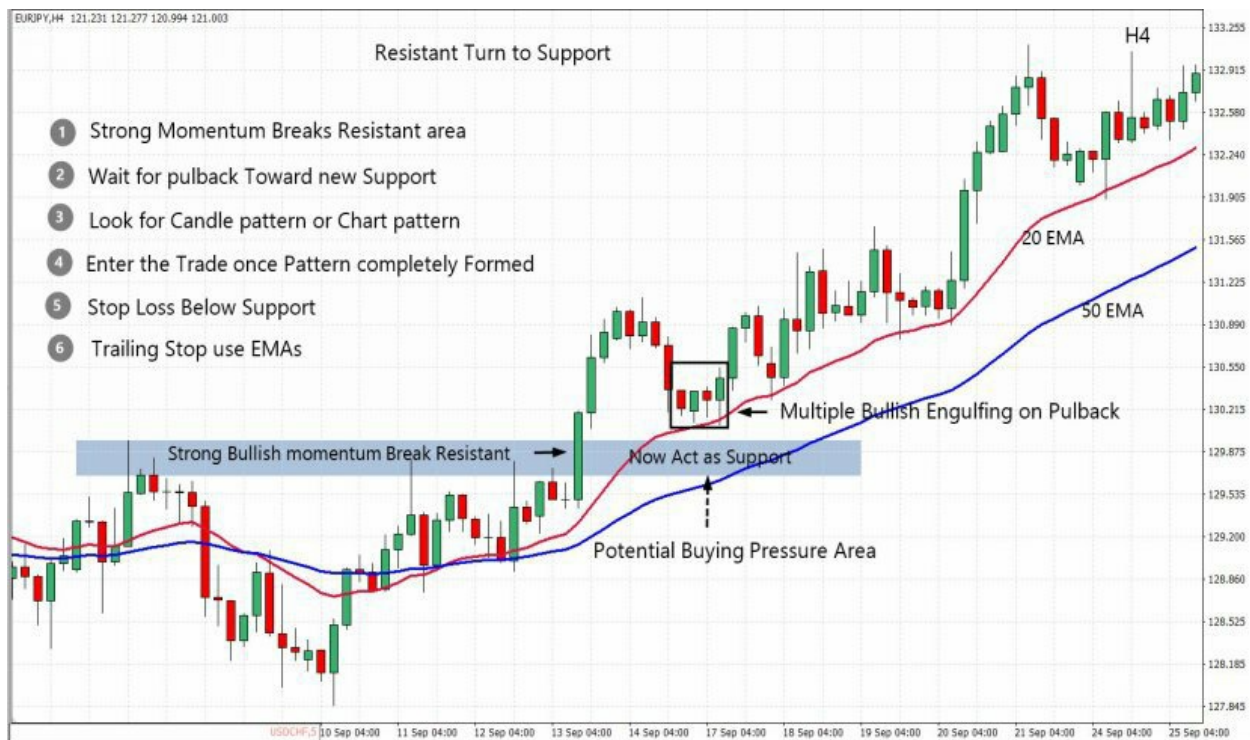
If we are looking to buy the market after the price made fresh high, we would be waiting for the price to retrace towards role reversal, Fibonacci Level or moving average. As we are pretty confident, the price is moving higher, we don't know how far the price will pullback.

Look for confirmation pattern as the price bounce back to retest the support level. Once the pattern has formed, wait it for completely breakout with strong bullish momentum then enter to go long.



EUR/USD H4

1. In this example price moves up higher breaks the resistant level
2. Pullback toward new support level and forming candlestick pattern
3. Wait for the pattern to completely broke with strong bullish momentum
4. Enter the trade after pattern breakout
5. Stop loss right below the support and the pattern formation
6. Exit at the previous swing high or once strong bearish momentum breaks the trendline



EUR/JPY H4

- 1) Price breaks resistant level and now acts as new support
- 2) Price bounce back toward support and EMA
- 3) Forming Multiple Bullish Engulfing Pattern
- 4) Enter the trade after pattern completely closed
- 5) Stop loss right below the support level
- 6) Exit once Strong bearish momentum close below the 20 EMA



GBP/JPY Daily

If the market is in downtrend, the price will punch through supports making new lower lows. The broken support becomes new resistance and offers opportunity for short positions.

Resistance changes its role to support.

Sometimes the price will pull back a bit further than just the former support or resistance. It might retrace toward other important technical levels.



Example EUR/JPY on H1:

Notice there after price retrace back form bearish continuation or reversal pattern. Its good time to entry the market

Downtrend direction

1. Price breaks support and now acts as resistant
2. Price pullback toward new resistant and forming Bearish Multiple Engulfing Pattern
3. Wait for the pattern to completely closed
4. Enter the trade on the next candle
5. Stop loss right above the resistant level
6. Trailing stop use 20 EMA

Conclusion:

- The more times Support and Resistance is tested, the weaker it becomes
- Support and Resistance are areas on our chart (and not lines)
- Support and Resistance can be identified using moving average
- Don't place our stop loss just below Support or above Resistance
- Trading at Support and Resistance gives us favorable risk to reward
- bullish and bearish reversal candlesticks can enhance our trade entry signal.
- nothing is 100% certain, price can break the levels and not obey them.
- sometimes, there will be false break or spike only to obey it later
- since it has a strong chance of being a turning point in the market, there's usually a good risk reward ratio formed at key levels of support and resistance in a market.

Support and Resistance attracts a lot of attention from traders. There will be some looking to trade the reversal, and others looking to trade the breakout. It seems easy but it is not.

Remember; the strategy alone is only a part of the big picture. We need find out what works for us.

One strategy can suit one person but not another. There are also other aspects of trading like risk management or emotions that we need to consider.

Learning is essential to understand what we are up against.

There is no magic to it, just hard work, commitment and persistence.

6.IDENTIFY BREAKOUT/REVERSAL WITH SUPPORT & RESISTANCE

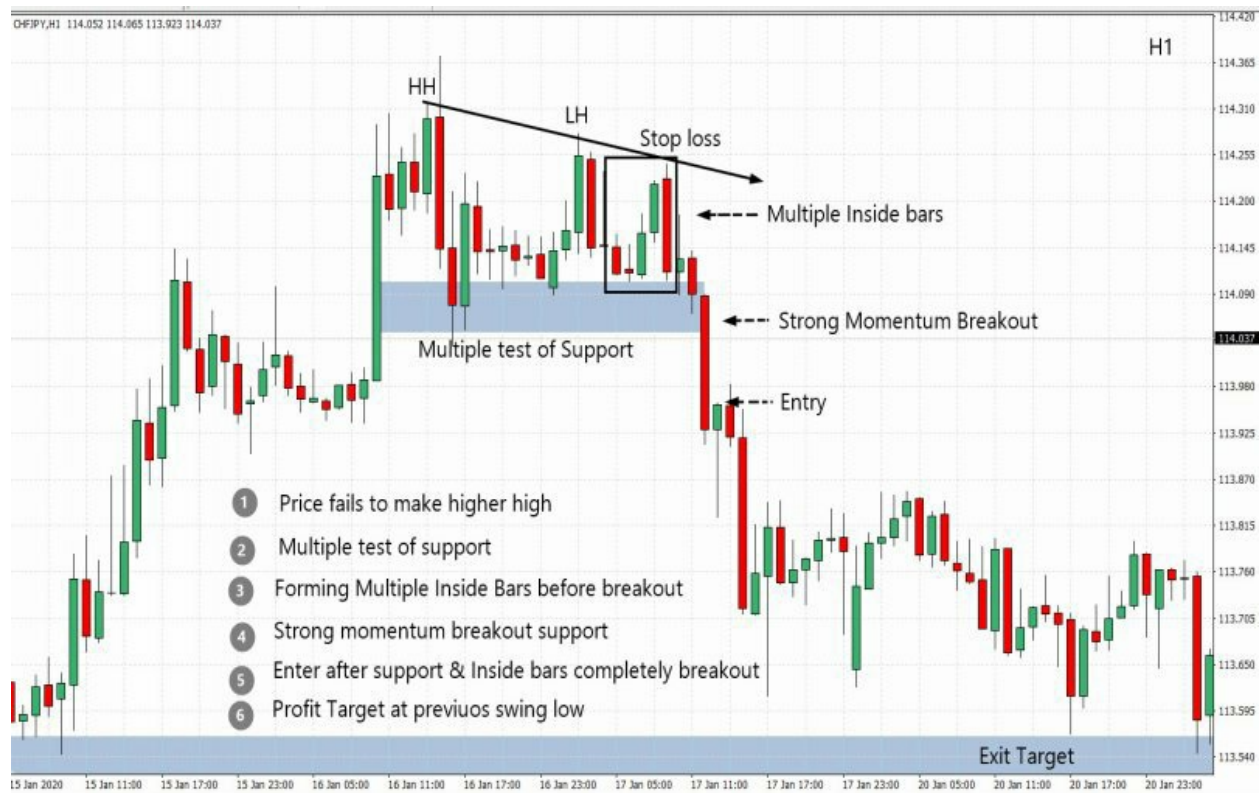
Support and Resistance attracts a lot of attention from traders. There will be some looking to trade the reversal, and others looking to trade the breakout.

Higher lows into Resistance usually result in a breakout (ascending triangle). Lower highs into Support usually results in a breakdown (descending triangle).



Note: The more times Support or Resistance (SR) is tested, the weaker it becomes. If the candle breakout is too large, its better to wait for little pullback for good entry point. We must understand this trading strategy isn't the "holy grail".

The only way we will survive in the long run is proper risk management. Thus, I suggest risking not more than 1% of our account on each trade.



CHF /JPY H1

1. Price fails to create new higher highs and creates new lower highs instead
2. Support level has tested for multiple times
3. Forming Multiple Inside Bars before finally breakout the support level
4. Strong momentum breakout support and Multiple Inside Bars pattern
5. If the breakout candle is too large, wait for the price to move up little bit to get better entry point
6. Profit target at previous swing low

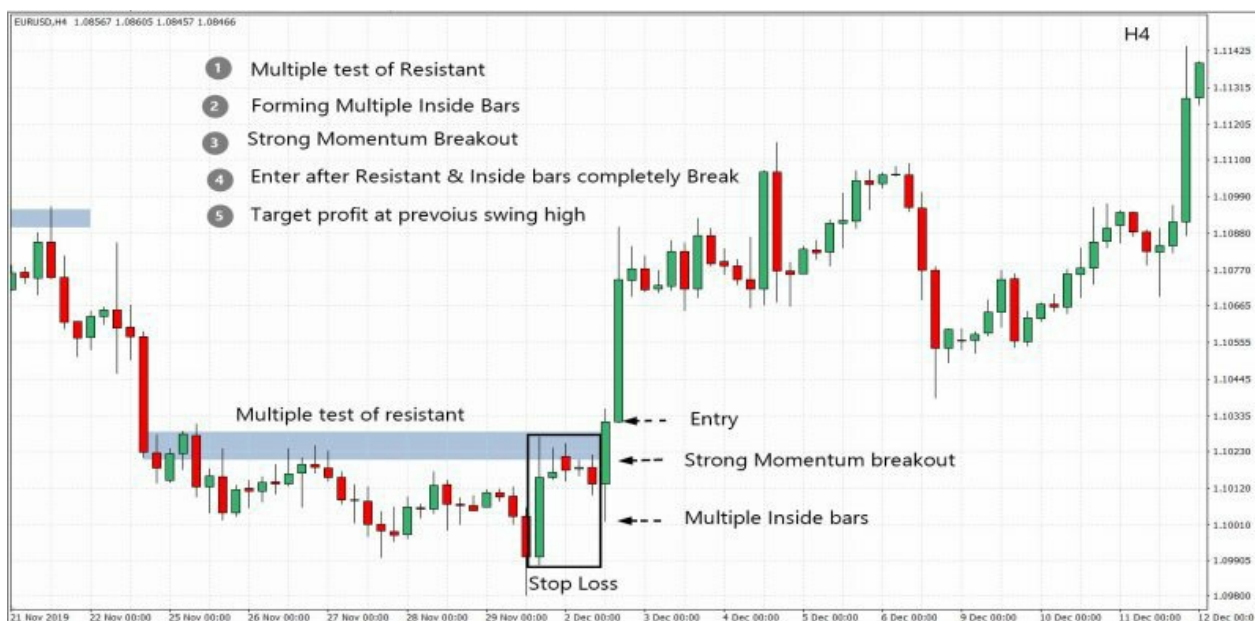


Example

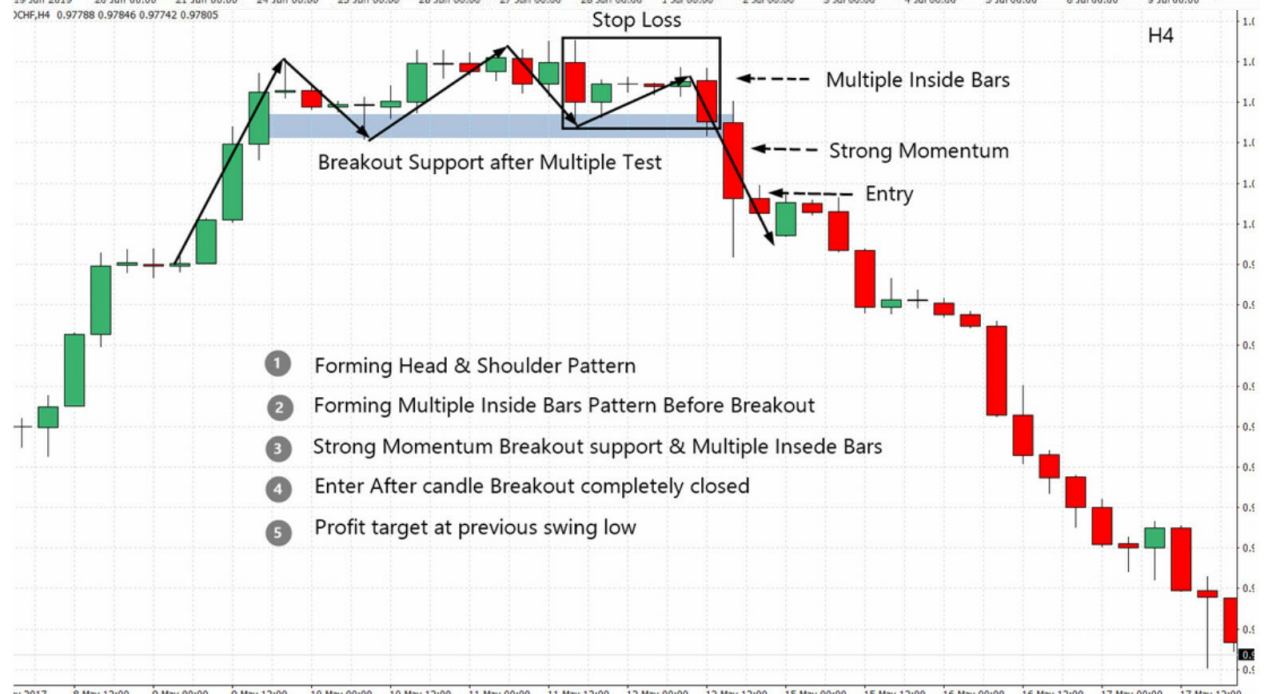
for EUR/USD on H4 Timeframe

Note: In an uptrend price fails to make new higher high, and its forming new lower highs before finally breaks the support area with strong bearish momentum after multiple retest.

- 1) Price fails to make new higher highs and creates new lower highs instead
- 2) Multiple retest of support area
- 3) Forming Multiple Inside Bars and also shooting star with long upper wick
- 4) Strong bearish momentum breakdown the support and Multiple Inside Bars
- 5) Enter the trade on the next candle after breakout
- 6) Stop loss right above the swing high
- 7) Profit target at previous swing low



EUR/USD on H4 Timeframe



USD/CHF on H4 Timeframe

In this Example we find a good set up for reversal:

1. Price moves in a range and forming Head & Shoulder pattern
2. There's Multiple Inside Bars forms before finally breakout the support level
3. Strong bearish momentum breakout the support and Multiple Inside Bars
4. Enter on the next candle after breakout occur
5. Profit target at previous swing low

7.MULTIPLE TIMEFRAMES STRAEGY.

Multiple time-frame analysis involves monitoring the same currency pair across different frequencies (or time compression). Usually the larger time frame is used to establish a longer-term trend, while a shorter time frame is used to spot ideal entries into the market.

Our higher timeframe (HTF) is dependent on our entry timeframe.

For some traders, their higher timeframe could be the 1-hour chart.

And for others, their higher timeframe could be the weekly chart.

Table:General time frames of different traders

Trader style	Holding period	Trend chart	Entry chart
Long-term	1 day +	Weekly	Daily
Swing-trader	Few hours – few days	Daily	4-hour
Short-term	< 1 day	4-hour	Hourly
Scalper	< few hours	hourly	15-minute

Day traders typically have the whole day to monitor charts and therefore, can trade with really small time frames. These range anywhere from a one-minute, to the 15-minute, to the one-hour time frame. Day traders that identify their trade set ups on the one-hour time frame can then zoom into the 15-minute time frame to spot ideal market entries.

Using multiple time frames can improve our trading entries.

But the problem is... most traders are confused on how to do it

To this point, if we open trades on a minor time frame, we can actually enter trades slightly earlier, thus avoiding the slippage that occurs as we wait for our major time frame to print a candlestick.

We are only using the major and minor on higher time frames to confirm what our base time is telling we as the based trend directions and look an entry points on the smaller time frames.

Once we clear how the market behave , trading will become EASY!

Technical indicators don't predict the price

It is quite common among traders to over-use trading indicators. Inexperienced traders puts all his faith into indicators. Their charts are filled with boxes, windows, lines and more. Traders pay more attention to the indicators then to the price action itself. Some of retail traders would be very confused and most of them would not be able to trade without indicators

use only a few indicators, mainly leading ones as an addition to price driven strategy.

Indicators and other tools are designed to help us with our strategy rather than being a strategy themselves.

Again, We never use indicators on their own for trade analysis or trade entries. We only use them to confirm & support what we already established with price action.



in this example is for EUR/AUD Daily chart

- 1) Price create new lower highs
- 2) Breaks the support level with strong bearish momentum
- 3) Price has pullback toward new resistant and forms Inverted hammer with Long upper wick, Indicates the strong rejection from buyer at the resistant area
- 4) Move to the lower time frame to get good entry point
- 5) Our entry point is on the 4 hour time frame and use the daily time frame as the direction of the trend.



Here's

how the 4 Hour time frame looks like

In this scenario we can see that after breakout of support area on Daily chart,

1. Pullback on the daily chart and 4 hour chart
2. 4 hour chart forming a Double Top pattern on the pullback toward resistant level
3. Wait for the pattern completely breaks with strong bearish momentum
4. Enter the trade after pattern completely breaks
5. Use Daily time frame as the trend direction and exit point

Example for H4 & H1



EUR/AUD H4

- 1) Price fails to makes new higher high and creating new lower highs instead
- 2) Price breakout the support level with strong momentum
- 3) Price has bounce back retest the new resistant level and forming a Shooting Star
- 4) As the price pullback toward resistant, we move to the lower time frame (H1)
- 5) And look for an entry point
- 6) Use higher time frame as direction of the trend and the exit point



Here's on the H1 looks like

1. Price has pullback toward 4 hour time frame resistant
2. On the 1 hour time frame forming an Inside Bar pattern on the resistant area
3. Entry after Inside Bar has completely breakout with strong bearish momentum
4. Stop loss right above the resistant
5. Use higher time frame (H4) as the direction of the trend and the exit point

Note: always looking for chart pattern (double top on a downtrend or double bottom in an uptrend) or candlestick pattern as confirmation an entry point. And the confirmations candles with strong momentum. Its sign that seller or buyer dominan to continue the directions of the trend.

Example for H1 & 15m time frames



EUR/AUD H1

In this scenario we using 50 period of EMA as the trend direction and candlestick also chart pattern as our confirmations.

Here's the set up for H1. The price has rally up and fails to create new higher highs before finally broke the trendline & support level. After breakout the support level, price pullback toward the new resistant and it is forming an Inside Bar pattern. We look for an entry point from M15 with confirmation of price action pattern or chart pattern. Use higher time frame as the trend direction and exit.



EUR/AUD H4

As we can see that both H1 & 15 minutes time frames the price are in the same directions below 50 period EMA. It means that trending down and only looking for a sell signal.

- 1) Price break down the support level and now acts as resistant
- 2) Price pullback toward resistant and forming a Double Top pattern on the M15
- 3) Wait for strong bearish momentum to breakout the neckline
- 4) Enter the trade once pattern has completely breakout
- 5) Stop loss right above the resistant area
- 6) Use higher time frame as direction of the trend and the exit point

Example EUR/JPY on 15 minutes time frame & 5 minutes time frame to look for an entry point



EUR/JPY M15

On the 15 minutes time frame, price has breakdown the support level and pullback occur toward the new resistant. On the pullback forming a Double top pattern on the resistant area. There's an inside bar pattern form before finally price breaks down the neckline with strong bearish momentum.

Look for an entry trigger from smaller time frame. And exit point based on the M15.

M5 time frame:



EUR/JPY M5

1. Price bounce back toward new resistant both on the M15 & M5
2. Price forming a Double Top both on the M15 & M5
3. Wait for strong momentum to breakout the neckline on the M5
4. If the candle breakout is too large, better wait for price to move up little bit to get better entry point
5. Entry after all conditions are met
6. Use higher time frame (M15) as direction of the trend the exit point

Looking for long entry on 15 minutes chart:

Notice that price keep making new Higher Highs and Higher lows before finally broke the resistant area and its above 50 EMA. There's candlestick pattern as we can see that breaks the resistant with strong momentum. Once the price pullback retest the support level, wait for confirmation signal to enter the trade. Set stop loss below support level and trailing using moving average to protect the profit.

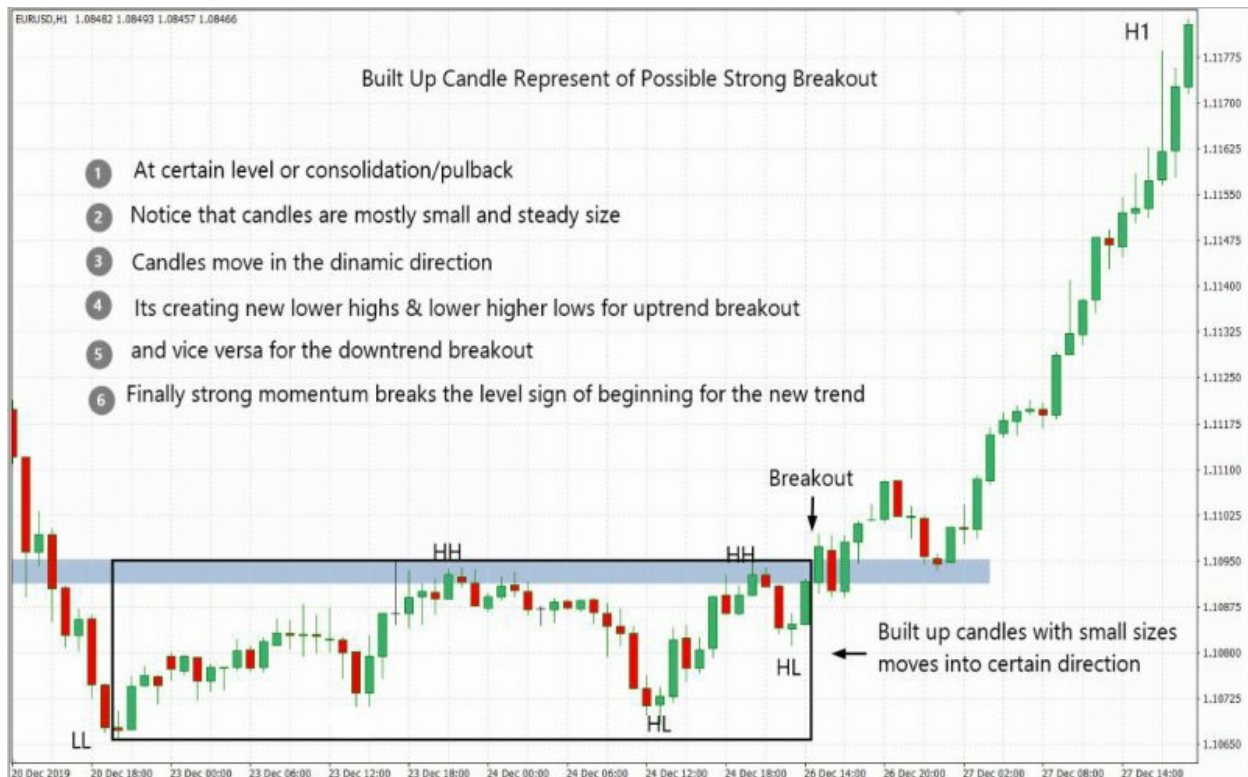


Note: look for an entry point from smaller time frames. Once the price pullback retest support level, see how price reacted . if there has multiple rejections from the support level even will be better. The candles confirmations have to closed above the 50 EMA with strong momentum. Sign of the buyer ready to push the price higher.

Support/resistant is area of Confluence, where the buyer or seller ready to enter the market on its directions.

8.UNDERSTAND STRENGTH OF THE MARKET DIRECTIONS WITH CANDLE SIZE

In this Example as we can see that market was in ranging mood. Candles size are mostly small and moves forming new higher highs & higher lows at ranging area. Candles getting more power when reaching resistant area and finally broke resistant with strong momentum.



EUR/USD H1

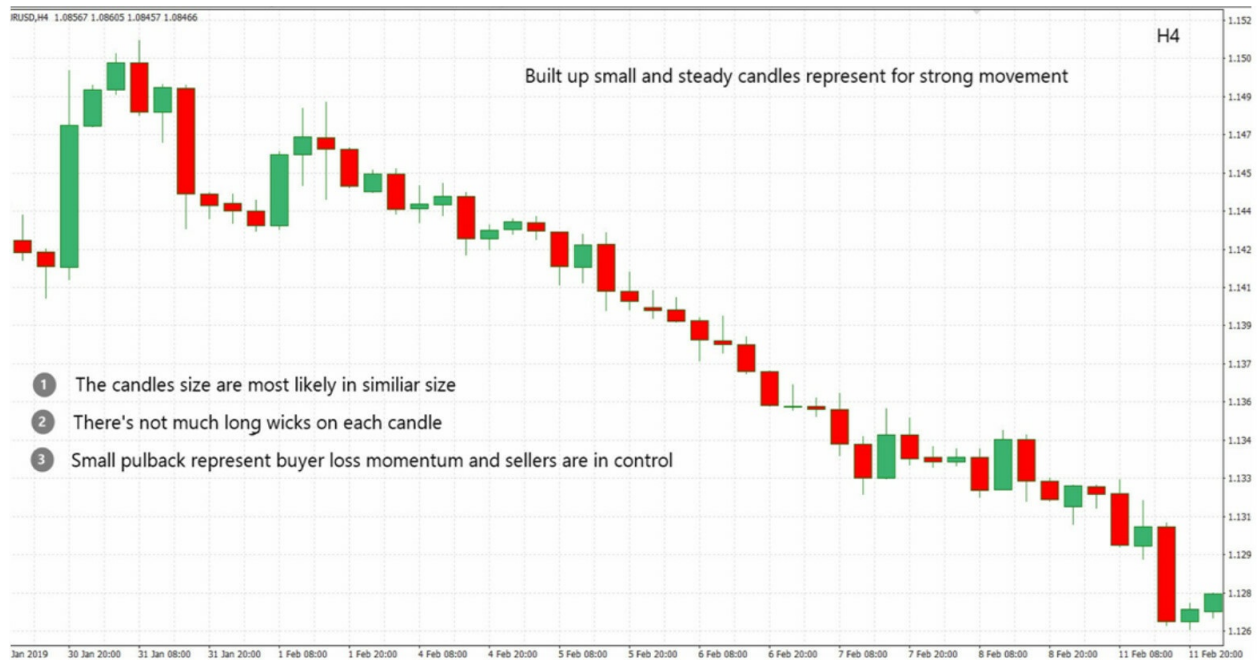
This is represent for strong movement before breakout, price creating new higher highs & higher lows with dynamic build up candle. Small and steady candle and finally breakout resistant with strong bullish momentum.



GBP/USD H1

Built up Candles represents for strong movement in the market directions;

Smalls buildup candles with not much wicks creating new lower highs before finally breakout the support level with strong bearish momentum. When market on the sideways, its better to stay out and watch how market behave on this raging mood. If there's ranging with small steady candles it is a good sign that market probably will have strong movement. Breakout candle must be strong momentum but not too large and without long wicks.



EUR/USD H1

Notice there's on the pullbacks the bullish candles are smaller compared to the previous bearish candles and quickly price move back down and cover the bullish candle with strong bearish momentum.

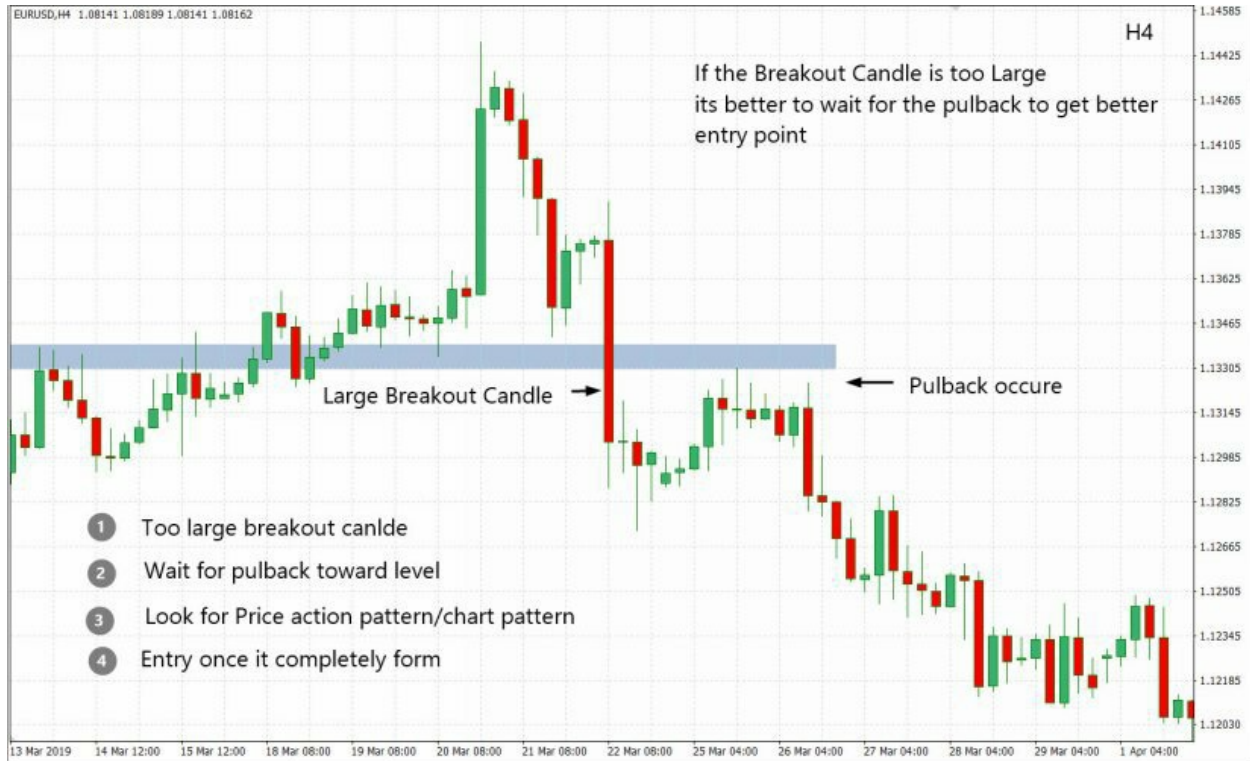




Ranging movement are most likely with large candle size

When market in raging mood with this formation large and long wicks on each candle, it is more likely hard to spot the breakout direction. It shows very high volatility. Stay out from this kind of market unless we have very high skill and experienced on this kind of movement. Normally the ranging mood happens after long movement of the trend.

9.TOO LARGE BREAKOUT CANDLE



EUR/USD H4

If the candle breakout is too large, it's better to wait for the price to little bit pullback to get better entry point.

Too large breakout candle represent might be possible of exhaustion. Normally price will little move back before continuing its rally. Enter after too large breakout candle will hardly set stop loss that will need very huge distance to plot it.



EUR/USD H4

Here's another example, however its not holy grail sometimes price might just moves into the directions without having pullback. We only try to get best entry as much as we can.

10.IDENTIFY POSSIBLE OF REVERSAL WITH CANDLE FORMATIONS

Understanding of candlesticks is big part in price action trading. And this is why are candlesticks very important to understand.

Candlesticks tell a story and are reflection of what “Buyers & sellers“ are doing.

What that means is the candlesticks that forms tells us a lot about what is going on that specific time period in term of buying & selling in the market. Many ways to using candlesticks but we'll focus on combining candlesticks pattern with key levels.

Specific candlesticks that we look for here are:

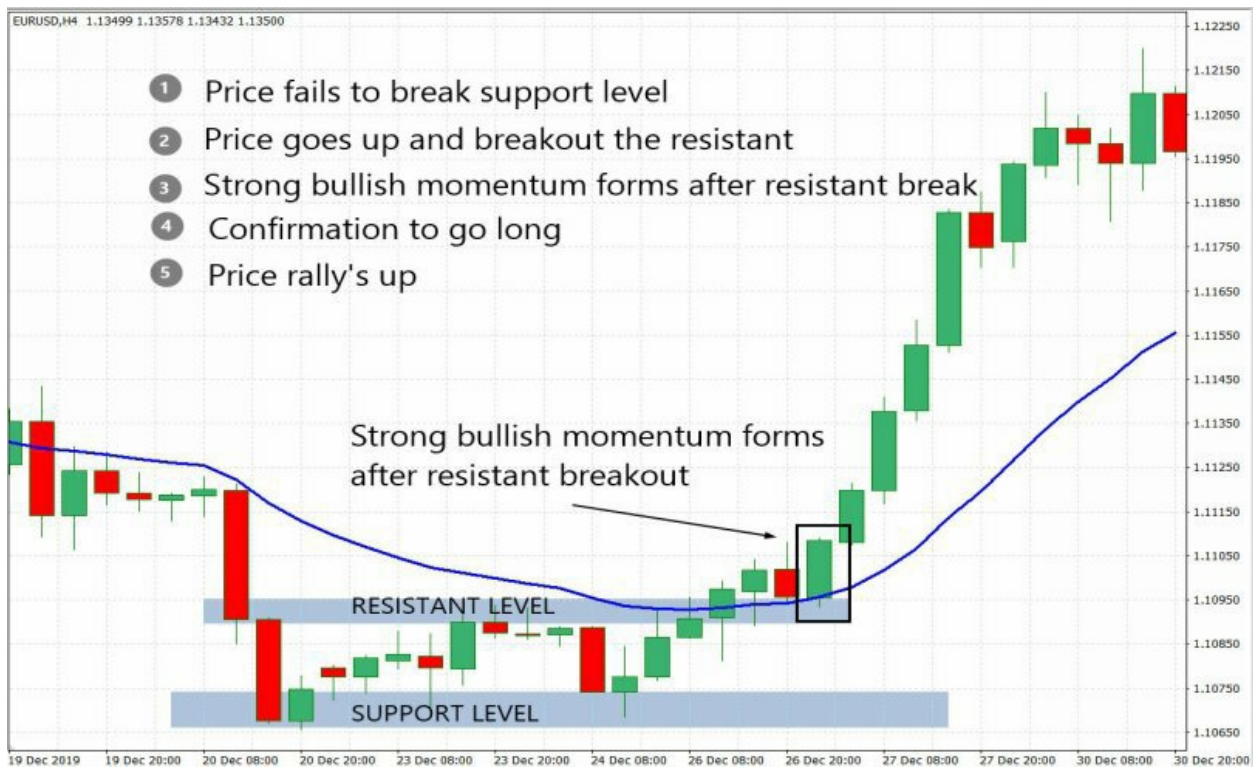
- 1) Momentum candle
- 2) Long wick candle that sticking out of any key levels
- 3) Momentum loss candles
- 4) Multiple candle rejections

Candlesticks comes in many forms, but in this case well use a great formations that forms and got rejection from the key level that help to identify the market turning point at any specific given time frame.

MOMENTUM CANDLE

A big body candlesticks show strong momentum regardless it bullish or bearish candle.

This show us that market is in strong movement. We'll like to use this momentum candle as confirmation to enter the market after rejection candle at any key levels.



Strong momentum candle after break any key level shows the confirmation signal to enter the trade to the direction of candle formation. In this example we go long after momentum candle forms.

LONG WICK CANDLE THAT STICKING OUT OF KEY LEVELS



In this scenario as we can see the trend is going up. Price creates new higher high and bounce back to creates new higher low. When the price goes back up try push the market higher but it fails and end up with very long wick sticking out of resistant/previous swing high. This is tell us that buyer loss momentum or exhaustion. If buyer where in control it will have big body candle with short wicks on upper and lower side.

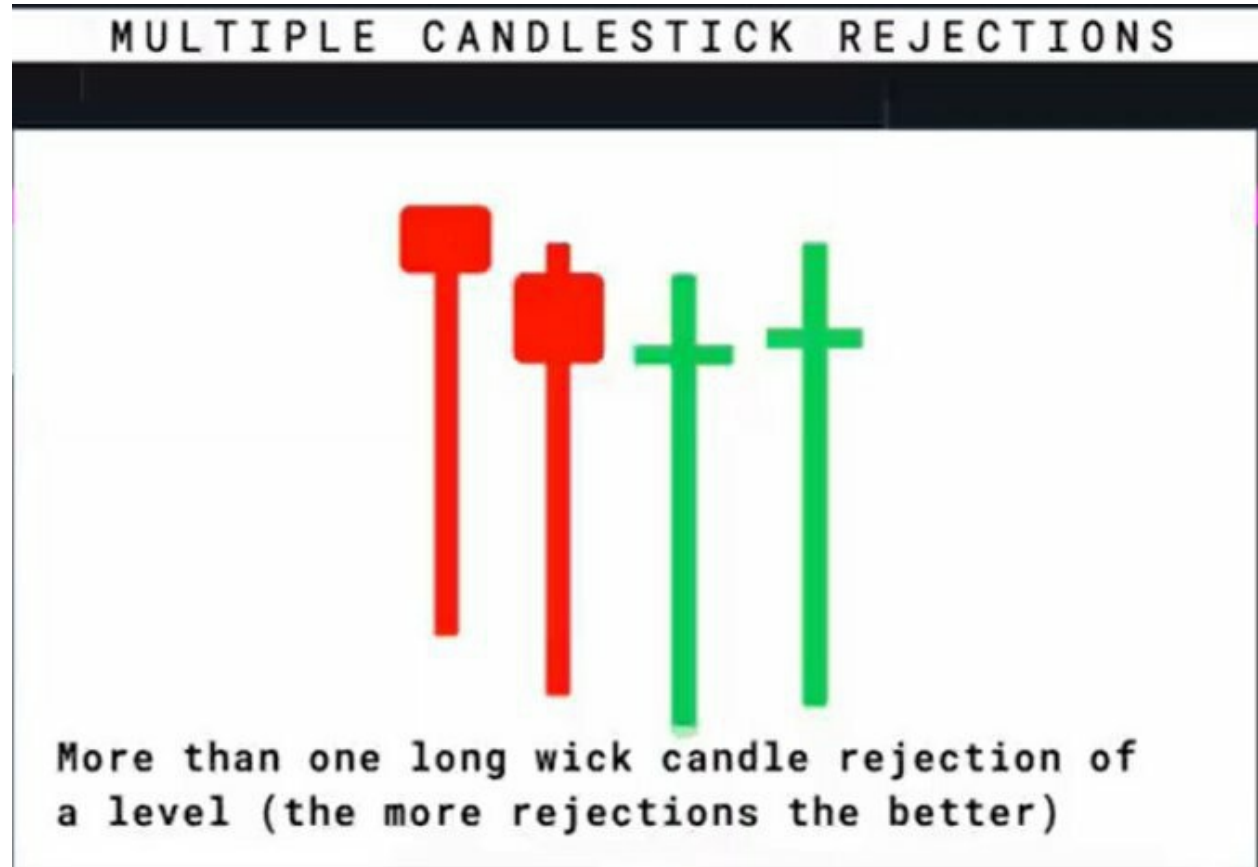
MOMENTUM LOSS CANDLES



In this example shows strong bearish momentum entering the support level, but then on the next bearish candlesticks with small bodied show that sellers loss momentum. Follow by small candle with very long lower wick stick out of the support level. It may be sign of market reversal, wait for strong bullish momentum candle to forms. Then enter the trade to the uptrend directions

MULTIPLE CANDLE REJECTIONS

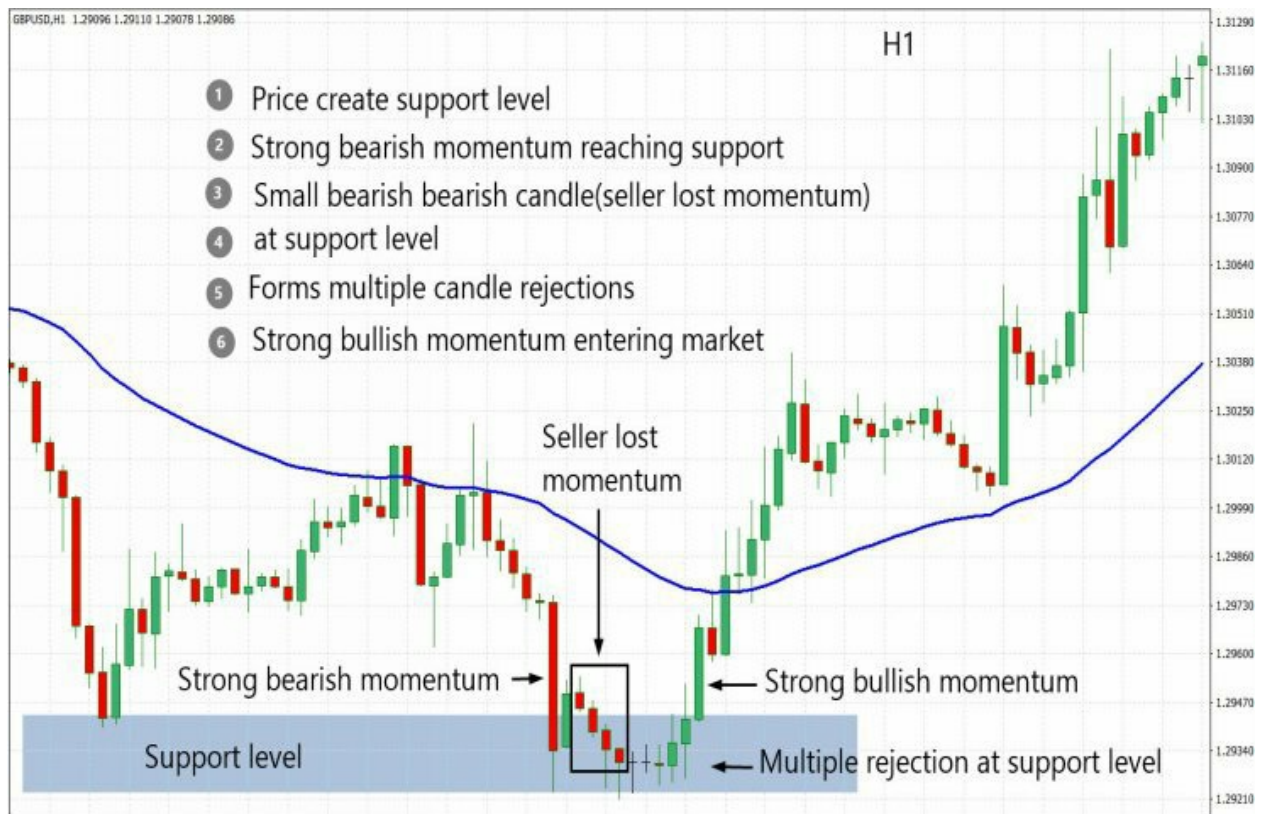
Multiple candle rejections means more than one long wick candle rejection of a level. The more rejection the better.



The long wicks ideology in term of price action that try to tell us story behind its movement.

This shows a results that price try to push the market lower but fails.

When price approaching any key levels such as support & resistant or Moving averages value area or trendline we have no idea there will be a trade or not until we get price action. Price action comes in many forms and we apply them depend on the current market conditions.



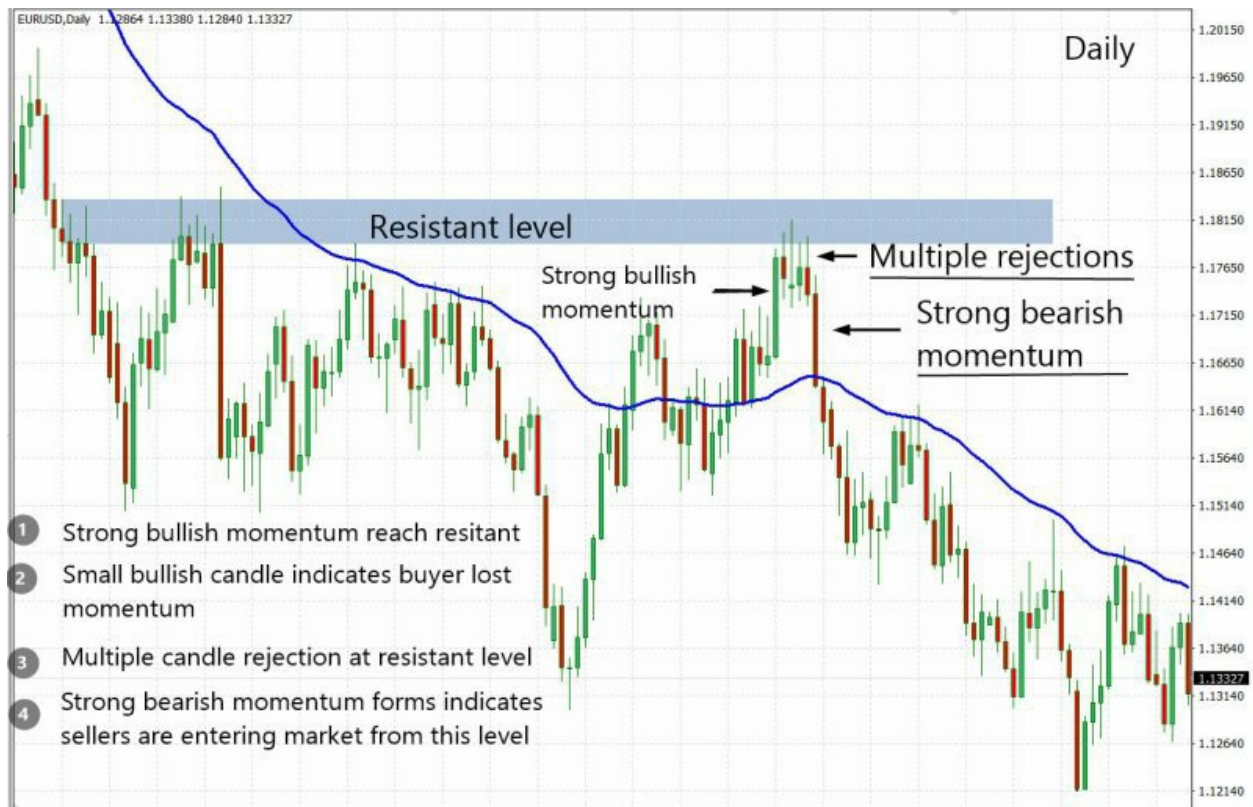
In this example we can see that price creates support level in a downtrend direction.

Here we have all conditions together:

- Strong bearish momentum entering support level, but it quickly seller lost momentum that shows in the four small bodied bearish candles.
- Price has multiple rejection at this level with long lower wicks on each candle.
- Strong bullish momentum entering market indicates that buyer gain its power to push market higher.
- Trend rally's up from this level.



- Here's another example,
- Strong bullish momentum breaks the resistant level
- Price bounce back retest the new support
- Forming multiple candle rejections at support level, indicates strong rejection from buyer
- Then strong bullish momentum entering the market
- Price rally's to the uptrend direction



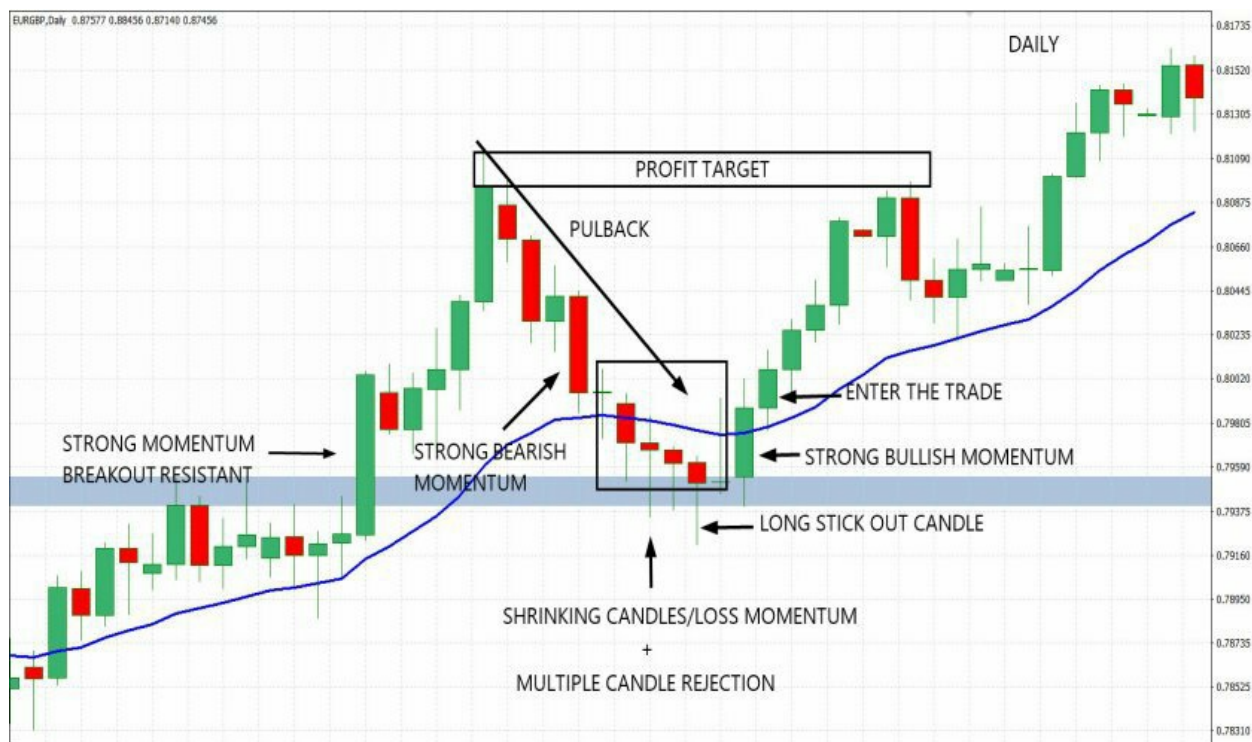
Here is example for short entry:

1. Price reaching resistant level with very strong momentum
2. But its momentum lost that shows by small bullish candle formation
3. Forming multiple candles rejections from this level
4. And the its changes direction when strong bearish momentum entering the market
5. This telling us that sellers are in control to push the market lower.



We notice that every times very strong momentum reached at any key level(support or resistant) it will quickly turn into smaller candle formation shows that sellers or buyers exhaustion and follow by multiple candle rejections afterward. Strong bullish or bearish candle forms after multiple candle rejection indicates for new up coming the trend directions.

Look for the key level and see how price behave on this area. This set up can help us to enter the trade confidently in the direction of up coming trend direction. Set stop loss right above or below the support or resistant level and entering the trade after strong candle momentum as confirmation signals.



EUR/GBP Daily

Here we find the good set up in uptrend direction:

- 1) Price breakout the resistant level with strong momentum
- 2) Price pullback retest the new support
- 3) Strong bearish momentum approaching support
- 4) Follow by shrinking candles that sign momentum loss
- 5) Multiple rejection from support level
- 6) Long wick candle sticking out of support level
- 7) Forming strong bullish momentum, enter the trade on the next candle

As the price approaching the key levels we want to see that price moves in strong momentum, and it slow down by forming smaller and smaller candle that shows momentum lost. Follow by very long wick candle that indicates strong rejection from the key levels. The next is we are looking for strong momentum forms on the opposite direction that shows by candle colour change.

Here what we need to see in term of trading reversals:

- 1). Find any good key levels (support & resistant)
- 2). See how the price behave once approaching the key levels
- 3). we want to see big momentum candle approaching the levels
- 4). Follow by shrinking candle that indicates price loss ing momentum on that levels
- 5). Looking for strong rejection from key level (the long wick sticking out)
- 6). Multiple candle rejections from the key level
- 7). Candlestick pattern such as Inside bar or engulfing candle
- 8). Candle colour change with Strong momentum as confirmation
- 9). Enter the trade

The lesson to take away from this book is:

- Don't rely too much on our technical indicators.
- Keep it simple and move beyond it.
- Set stop loss slightly higher or lower from swing high or swing low entry point. Because price might hit our stop loss and forming false breakout before it goes into our direction.
- There is more to trading than a technical analysis.

The rules for trading set up:

- Our trading set up is only use candlestick chart to analyse the market
- Find any certain and clear area of support or resistant
- Wait for those level to be broke
- If there's pullback happens toward any certain of support or resistant
- Look for price action pattern or chart pattern formation
- Once all completely formed wait it for the breakout with strong momentum
- If the candle breakout is too large, better to wait for the price to little pullback to get better entry point
- Set stop loss slightly wider above or below pattern formation depends on the trend directions
- Target profit on the previous swing high or swing low
- Or using EMAs for trailing stop
- Understand the strength directions of the trend with candle size

Technical analysis is solely based on a self-fulfilling prophecy.

Technical analysis encompasses a wide range of charting techniques used to try and predict the move of a certain market. Technical analysis includes the use of trendline, candlesticks formations, moving averages, typical chart patterns such as double top, head and shoulder, etc.

There are a lot of different aspects to technical analysis. It is not my intention to give advice on which technical patterns or indicators are better than others. It is important to understand that there is no magic to forex technical analysis, although it is often marketed in such a way. Technical analysis works only because it is similar to that of a self-fulfilling prophecy.

The release of highly important fundamental data can be very dramatic for a price action and technical analysis is of very limited use during these times. However, it all depends on the kind of news and the deviation from the expected number. It should be kept in mind that these are definitely not good times to try and detect trends or their tops and bottoms. We are well advised to wait for calmer waters when technical analysis can be applied properly.

Technical analysis produces more reliable results the longer the time frame used. This is especially true when the trading is following a regular pattern such as during "stable times".

Very short time frames below 1 hour do not lend themselves to statistical analysis very well. However, some traders do use them for other types of trading strategies such as scalping which is used by many expert divisors. The general idea behind any scalping method of trading is to reduce risk by getting into a trade and then out of it as quickly as possible.

This type of action limits the risk exposure during a trade. This process is then repeated many times, always aiming for a small low risk gain.

In addition to the specific timeframes, it should be noticed that Fridays often tend to respond poorly to an technical analytical approach, as well as fundamental news releases.

Trading psychology. Fear and greed will affect our performance

It's important to manage our emotions. The most common traps are greed, fear of losses, impulse trading, over-trading, unrealistic expectations. Trading decisions are often driven by these factors.

All the foreign exchange trading knowledge in the world is not going to help, unless we have the nerve to buy and sell currencies and put our money at risk.

Financial trading involves a tremendous amount of knowledge, patience and discipline. As humans we are rather emotional creatures vulnerable to make mistakes. A trader must present cold blooded analysis and implementation of the trading strategy.

This is not an easy task and makes trading financial market one of the most difficult jobs.

If we can be courageous under fire and strategically patient, foreign exchange trading may be for we. If we're a natural gunslinger and reckless we will need to tone our act down a notch or two and we can help we make the necessary adjustments. If putting our money at risk makes us a nervous wreck it's because we lack the knowledge base to be confident in our decision making. However, once we learn to control our fear, it gets easier and easier and in time there is no fear. The opposite reaction can become an issue – we're overconfident and not focused enough on the risk we're taking.

Patience to Gain Knowledge through Study and Focus

Many new traders believe all we need to profitably trade foreign currencies are charts, technical indicators and a small account. Most of them blow up (lose all their money) within a few weeks or months; some are initially successful and it takes as long as a year before they blow up.

A tiny minority with good money management skills, patience, and a market niche go on to be successful traders. Armed with charts, technical indicators, and a small bankroll, the chance of succeeding is probably 5 to 1. To increase our chances of success to near certainty requires knowledge; acquiring knowledge takes hard work, study, dedication and focus. Compile our knowledge base without taking any shortcuts, thereby assuring a solid foundation to build upon.

Remember that patience will pay in trading.....

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